Block practice · Price, supply and income elasticity

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Price elasticity of demand: meaning, values and uses

Calculating price elasticity of demand (PED)

Income elasticity of demand and types of goods

Calculating income elasticity of demand (YED)

Price elasticity of supply: meaning, values and causes

Calculating price elasticity of supply (PES)

Draw elastic and inelastic demand or supply curves

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Practice workbook · Price elasticity of demand: meaning, values and uses

What PED measures, interpreting values from perfectly inelastic to perfectly elastic, the determinants, the link with total revenue, and why PED matters to firms and government.

13 question parts: 1 worked-example retry and 12 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-12

1. Question 4 · part b · 6 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part b only.

4 Figure 5 shows profit for a firm between 2020 and 2022.

Year	Profit ($)
2020	20 250
2021	21 000
2022	22 950

Figure 5

(a) Calculate, to two decimal places, the **percentage change in profit** for the firm between 2020 and 2022. You are advised to show your working.

(2)

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1. Question 4 · part b · 6 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part b only.

Marina Café is popular with tourists and locals in the town of Budva, Montenegro. It is situated next to the sea, with views of the surrounding mountains. Customers can enjoy their drinks whilst benefitting from the pleasant surroundings but pay €2.00 for a cup of coffee. The same brand of coffee can be bought for €0.80 a cup in some other cafés in Budva.

(b) With reference to the data above and your knowledge of economics, analyse why price elasticity of demand (PED) may be relatively inelastic at Marina Café.

(6)

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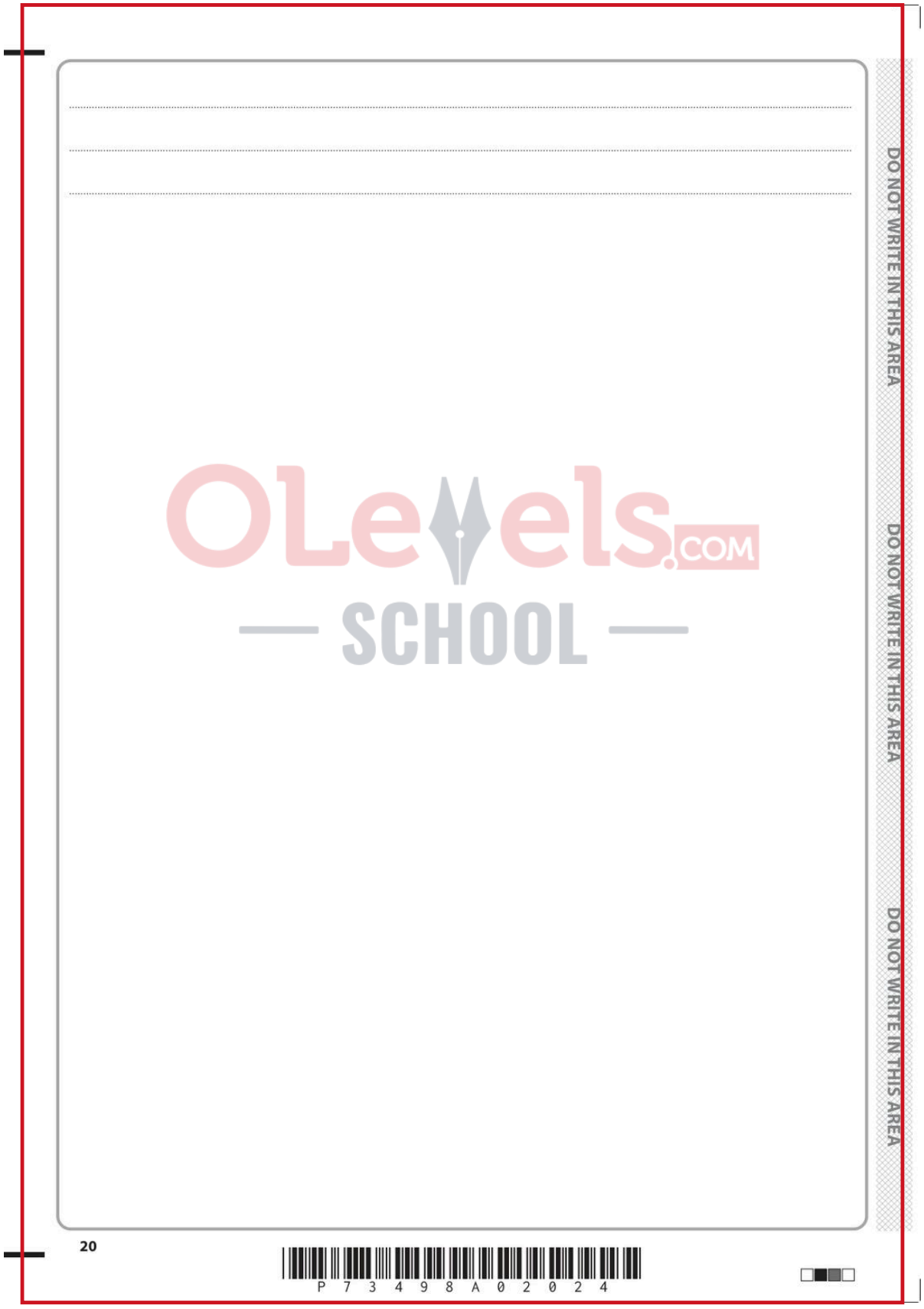
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1. Question 4 · part b · 6 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part b only.



1. Question 4 · part b · 6 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part b only.

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Churros are a popular Spanish snack made from fried pastry and covered in sugar and/or chocolate. Raphael operates a factory making the churros pastry, which is supplied to busy restaurants and street vendors all over Madrid, Spain. The factory has been owned by his family since 1980 and currently has 23 employees.

The pastry-making process involves mixing all the ingredients together and then heating them. Once the mixture has cooled, eggs are added and the dough is then shaped into lengths of about 15 cm. Raphael is considering introducing division of labour into the production process in order to increase productivity.

(c) With reference to the data above and your knowledge of economics, evaluate whether introducing division of labour is the best way for Raphael to increase productivity in his pastry-making factory.

(12)

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1. Question 4 · part b · 6 marks · Working and answer

Working and answer

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2. Question 3 · part d · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

3 (a) Which **one** of the following may result in economic growth?

(1)

- ☒ **A** Increasing unemployment
- ☒ **B** Decreasing government spending
- ☒ **C** Decreasing productivity
- ☒ **D** Increasing technological advancements

(b) Which **one** of the following is an example of an economic want?

(1)

- ☒ **A** Food
- ☒ **B** Water
- ☒ **C** Shelter
- ☒ **D** Education

The total revenue of a printing firm is $75 000 per month when it sells 100,000 newspapers. The price of a newspaper increases to $0.85 and demand falls to 95,000 newspapers per month.

(c) Calculate the new total revenue. You are advised to show your working.

(2)

(d) Using your answer to 3 (c), state the price elasticity of demand for newspapers.

(1)

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2. Question 3 · part d · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

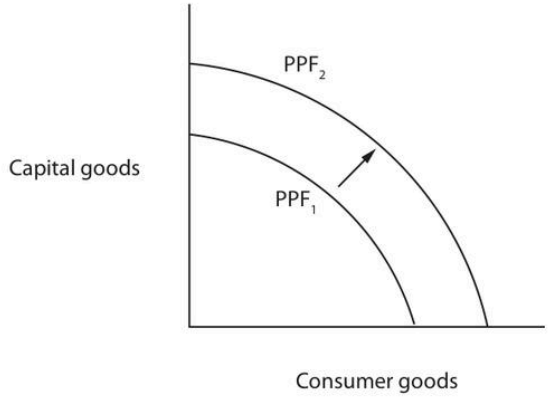


Figure 3

Figure 3 shows an outward shift in the production possibility frontier (PPF) for an economy.

(e) Analyse why the economy has moved from PPF_1 to PPF_2. (6)

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2. Question 3 · part d · 1 mark · Working and answer

Working and answer

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3. Question 1 · part h · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part h only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Profit
- ☒ **C** Wages
- ☒ **D** Manufacturing

(b) A firm has total fixed costs of $40 000 per month and variable costs of $150 per unit. If it produces 1,000 units, what are the total costs per month for the firm?

(1)

- ☒ **A** $190 000
- ☒ **B** $150 000
- ☒ **C** $41 150
- ☒ **D** $40 150

(c) What is meant by the term demand?

(2)

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3. Question 1 · part h · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part h only.

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(d) State the formula for social costs.

(1)

(e) Define the term tertiary sector.

(1)

Figure 1 shows the costs of production per month for a firm making 2,000 units.

Quantity	Total fixed costs	Total variable costs
2,000	$7 340	$4 760

Figure 1

(f) Calculate the average cost per unit for the firm when it makes 2,000 units. You are advised to show your working.

(2)

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3. Question 1 · part h · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part h only.

(g) Using the diagram below, draw the effects on the market for crops after a hurricane destroys farm land. Label the new curve, new equilibrium price and new equilibrium quantity.

(3)

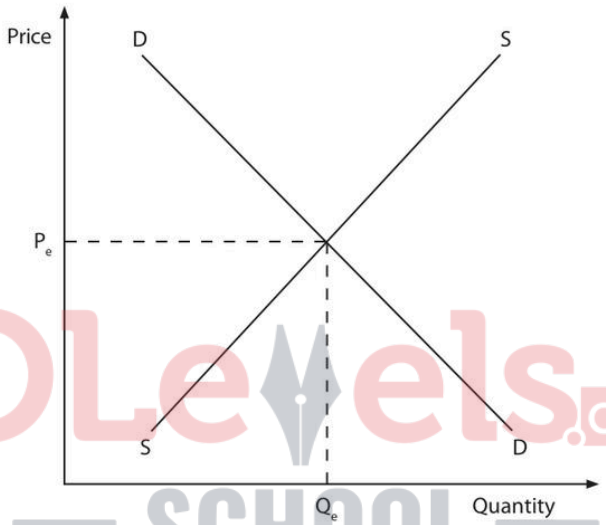


Figure 2

Concert tickets to see the most popular music artists can sell for very high prices.

(h) Explain **one** reason why the demand for these tickets might be price inelastic.

(3)

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3. Question 1 · part h · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part h only.

Introduced in 1935, Inca Kola is a yellow-gold coloured, fizzy, soft drink that is popular all over Peru. By 1995, Inca Kola had grown to become a strong competitor of Coca-Cola. Inca Kola had a 32.9% market share compared to Coca-Cola's 32.0% in Peru.

By 2014, Coca-Cola owned 48.5% of Inca Kola shares.

(Source: adapted from Peru's 'improbable' Inca Kola wins out over Coke by Andres Schipani © Financial Times September 2014)

(i) With reference to the data above and your knowledge of economics, analyse the possible reasons for Coca-Cola purchasing shares in Inca Kola.

(6)

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(Total for Question 1 = 20 marks)

3. Question 1 · part h · 3 marks · Working and answer

Working and answer

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4. Question 1 · part a · 1 mark

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part a only.

1 (a) Which **one** of the following values shows perfect price inelasticity of demand?

(1)

- ☒ **A** –1.5
- ☒ **B** –1
- ☒ **C** 0
- ☒ **D** 0.5

(b) A firm has total costs of $500 and sells each item at a price of $50. It sells 100 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $45 000 profit
- ☒ **B** $4 500 profit
- ☒ **C** $20 000 loss
- ☒ **D** $450 loss

(c) What is meant by the term mixed economy?

(2)

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4. Question 1 · part a · 1 mark · Working and answer

Working and answer

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5. Question 4 · part c · 12 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

4 Veronique owns a shop that makes cakes for special occasions. The cakes sell for an average price of €40 each.

(a) Calculate the quantity of cakes sold by Veronique's shop when total revenue is €3 600. You are advised to show your working.

(2)

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5. Question 4 · part c · 12 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

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German broadband group urges the Vodafone-Liberty deal to be stopped

A business group representing German broadband providers asked regulators to stop the takeover by Vodafone of Liberty Global's German operations, saying the new firm would be too dominant. In 2018, Vodafone agreed to pay $21.8bn for Liberty Global. Arguments against the takeover included that it would delay the work on building a nationwide fibre-optic network and damage competition in the cable TV market.

(Source adapted from: https://uk.reuters.com/article/uk-liberty-global-m-a-vodafone/german-broadband-group-urges-eu-to-block-vodafone-liberty-deal-idUKKCN1NC0Z2)

(b) With reference to the data above and your knowledge of economics, analyse why governments may want to control takeovers.

(6)

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5. Question 4 · part c · 12 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

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P 5 9 9 6 3 A 0 2 0 2 4

5. Question 4 · part c · 12 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

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Value Added Tax (VAT) is an indirect tax that must be added to the price of most food and household goods. The rate of VAT in South Africa was increased from 14% to 15% on 1st April 2018. Both consumer spending and business confidence fell following this increase but a further rise in VAT is being discussed by the government. VAT is not currently added to the price of fruit, vegetables and bread.

(c) With reference to the data above and your knowledge of economics, evaluate the usefulness of price elasticity of demand (PED) in helping the South African Government to decide whether to increase the rate of VAT.

(12)

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5. Question 4 · part c · 12 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

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5. Question 4 · part c · 12 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.



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5. Question 4 · part c · 12 marks · Working and answer

Working and answer

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6. Question 2 · part f · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

2

Market share by firm for a market in Azerbaijan

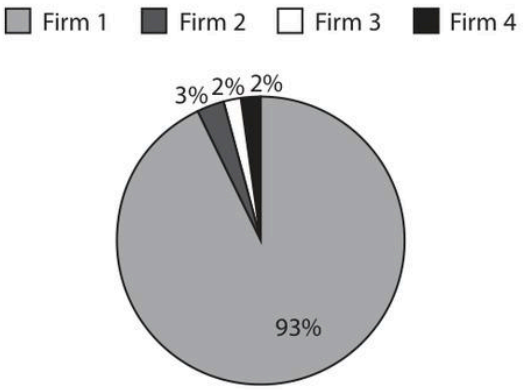


Figure 3

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 3?

(1)

- ☒ **A** Cartel
- ☒ **B** Oligopoly
- ☒ **C** Monopoly
- ☒ **D** Competitive

(b) Which **one** of the following is a reason why consumers may not maximise their benefit?

(1)

- ☒ **A** Consumers may accurately calculate the satisfaction they gain
- ☒ **B** Consumers may have habits that are hard to give up
- ☒ **C** Consumers are always rational when making decisions
- ☒ **D** Consumers never copy the behaviour of others

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6. Question 2 · part f · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

(c) State the formula for price elasticity of supply (PES).

(1)

Figure 4 shows some of the production costs in the month of May for a firm manufacturing football souvenirs in Qatar, in preparation for the 2022 World Cup.

Production costs	Qatari Riyal (QR)
Rent	5 000
Raw materials	2 000
Advertising	500
Labour (paid according to output)	15 000

Figure 4

(d) Calculate the **total variable costs** for the firm in the month of May. You are advised to show your working.

(2)

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6. Question 2 · part f · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

(e) Define the term takeover.

(1)

(f) Describe **one** reason why demand for a product usually becomes more price elastic over time.

(2)

In the UK, the speed limit for drivers in urban areas is 30 miles per hour (48 kilometres per hour).

(g) Explain **one** reason why the UK Government may use fines to reduce the negative externalities caused by drivers speeding in urban areas.

(3)

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6. Question 2 · part f · 2 marks · Working and answer

Working and answer

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7. Question 2 · part a · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part a only.

2 (a) Which **one** of the following products has a price inelastic demand?

(1)

	Product	Price elasticity of demand (PED)
☒ A	W	–1.5
☒ B	X	–1
☒ C	Y	–0.5
☒ D	Z	1

(b) Which **one** of the following is the formula for calculating average cost?

(1)

☒ **A** $\frac{\text{Total fixed cost}}{\text{Quantity produced}}$

☒ **B** $\frac{\text{Total revenue}}{\text{Quantity produced}}$

☒ **C** $\frac{\text{Total cost}}{\text{Quantity produced}}$

☒ **D** $\frac{\text{Total variable cost}}{\text{Quantity produced}}$

(c) State **one** reason why governments intervene in the economy.

(1)

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7. Question 2 · part a · 1 mark · Working and answer

Working and answer

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8. Question 2 · part a · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part a only.

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2 (a) Which **one** of the following products has demand that is price elastic?

(1)

	Product	Price elasticity of demand (PED)
☒ **A**	**W**	−1.5
☒ **B**	**X**	−1
☒ **C**	**Y**	−0.5
☒ **D**	**Z**	1

(b) Which **one** of the following is a situation when firms in a growing industry all benefit from lower average costs?

(1)

☒ **A** Internal economies of scale

☒ **B** External economies of scale

☒ **C** Diseconomies of scale

☒ **D** Technical economies of scale

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(c) State **one** disadvantage to firms of increased competition.

(1)

P 6 6 3 2 7 A 0 7 2 4

8. Question 2 · part a · 1 mark · Working and answer

Working and answer

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9. Question 2 · part c · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part c only.

2 (a) Which **one** of the following would occur when there are unsold goods in a market?

(1)

- ☒ **A** Excess demand
- ☒ **B** Excess supply
- ☒ **C** Higher prices
- ☒ **D** Increased productivity

(b) Which **one** of the following statements is correct?

(1)

- ☒ **A** The supply curve is always vertical
- ☒ **B** Supply and price are not related
- ☒ **C** Quantity supplied will fall when price falls
- ☒ **D** An increase in price will shift the supply curve

(c) State the name for price elasticity of demand (PED) with a numerical value of –1.

(1)

A factory producing shoes calculated that quantity supplied decreased by 2.7% following a price decrease of 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working.

(2)

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9. Question 2 · part c · 1 mark · Working and answer

Working and answer

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10. Question 3 · part e · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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3 (a) Which **one** of the following is an example of a job in the primary sector of the economy?

(1)

- ☒ **A** Farmer
- ☒ **B** Mechanic
- ☒ **C** Shop assistant
- ☒ **D** Teacher

(b) Total revenue can be defined as the quantity of goods sold

(1)

- ☒ **A** added to the price
- ☒ **B** subtracted from the price
- ☒ **C** multiplied by the price
- ☒ **D** divided by the price

(c) Using the diagram below, draw a diagram to show a demand curve that has price inelastic demand. Label the curve and show the impact on both axes from a change in price.

(3)

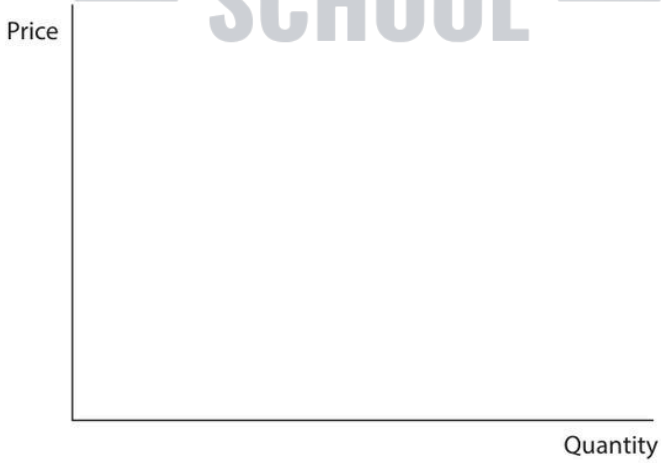


Figure 2

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10. Question 3 · part e · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

At the start of 2023, a study was carried out on the government-owned Portuguese airline, TAP Air, to see whether there were any potential investors. The objective was to begin the process of privatising TAP Air as soon as possible.

(d) With reference to the data above and your knowledge of economics, analyse the possible advantages of privatisation for TAP Air.

(6)

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10. Question 3 · part e · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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10. Question 3 · part e · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

Prime Hydration is a range of drinks launched in 2022 by YouTube celebrities, KSI and Logan Paul. It was instantly very popular, especially with teenagers. At its launch in the UK, the recommended retail price for a bottle was £1.99.

However, the price of a bottle on Amazon ranged from £8.25 to £19.99 but availability was not guaranteed.

(e) With reference to the data above and your knowledge of economics, assess whether an increase in the price of Prime Hydration is always likely to lead to an increase in total revenue for retailers.

(9)

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P 7 2 9 6 8 R A 0 1 6 2 4

10. Question 3 · part e · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

10. Question 3 · part e · 9 marks · Working and answer

Working and answer

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11. Question 1 · part a · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part a only.

1 (a) Which **one** of the following values shows perfectly price elastic demand?

(1)

- ☒ **A** –1
- ☒ **B** –0.5
- ☒ **C** Zero
- ☒ **D** Infinity

(b) A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is

(1)

- ☒ **A** €6.04
- ☒ **B** €205.36
- ☒ **C** €211.40
- ☒ **D** €422.80

(c) What is meant by the term mixed economy?

(2)

(d) State **one** example of an occupation that is in the tertiary sector of an economy.

(1)

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11. Question 1 · part a · 1 mark · Working and answer

Working and answer

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12. Question 1 · part h · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part h only.

1 (a) Which **one** of the following is a definition of opportunity cost?

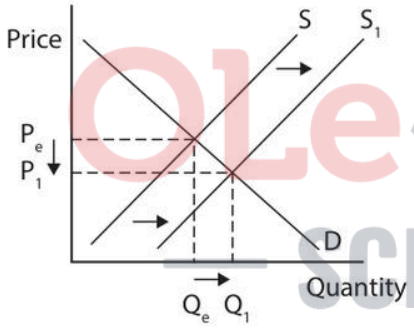
(1)

- ☒ **A** Rivalry that exists between firms
- ☒ **B** Investment in capital goods
- ☒ **C** The next best alternative given up
- ☒ **D** Unused resources

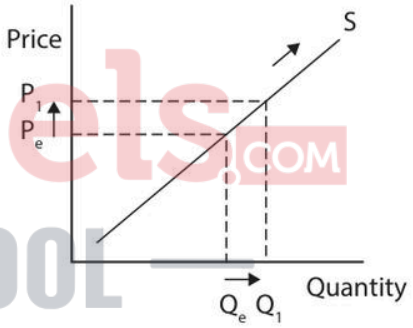
(b) Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers?

(1)

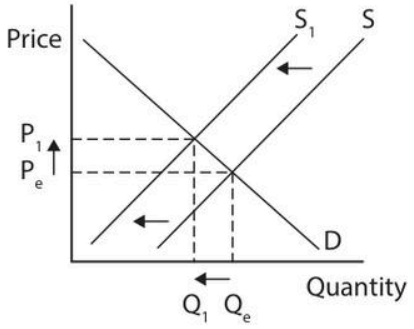
☒ **A**



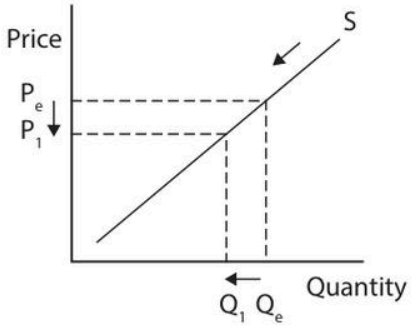
☒ **B**



☒ **C**



☒ **D**



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12. Question 1 · part h · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part h only.

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(c) What is meant by the term external benefit?

(2)

(d) State **one** example of an external cost.

(1)

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(e) Define the term takeover.

(1)

12. Question 1 · part h · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part h only.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for a good if price decreases by 9.4% and quantity supplied decreases by 3.7%. You are advised to show your working.

(2)

Figure 1 shows the market for rice.

(g) Using the diagram below, draw the likely effect of an increase in the population on the market for rice. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

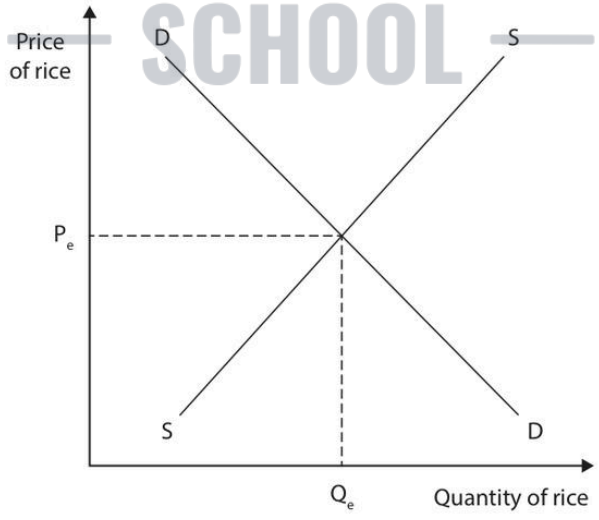


Figure 1

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P 7 5 9 5 4 A 0 4 2 4

12. Question 1 · part h · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part h only.

Six months after the price for a soft drink increased, its price elasticity of demand (PED) changed from –1.5 to –2.0.

(h) Explain **one** reason why demand for a product, such as a soft drink, usually becomes more price elastic over time.

(3)

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12. Question 1 · part h · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part h only.

The main ingredient of chocolate is cocoa. Firstly, cocoa pods are picked from trees. This is mostly done by hand to protect the trees. Cocoa beans are removed from the pods by hand or by machine, before the beans are roasted in ovens. Other ingredients, such as sugar, are added during further stages in the production process.

(i) With reference to the data above and your knowledge of economics, analyse how all four factors of production might be used to produce chocolate.

(6)

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6

P 7 5 9 5 4 A 0 6 2 4

12. Question 1 · part h · 3 marks · Working and answer

Working and answer

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13. Question 2 · part a · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

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2 (a) Which **one** of the following products has a price elastic demand?

(1)

		Product	Price elasticity of demand (PED)
☒	**A**	**W**	–1.5
☒	**B**	**X**	–1
☒	**C**	**Y**	–0.5
☒	**D**	**Z**	0

(b) Which **one** of the following is the formula for calculating average cost?

(1)

☒ **A** Total cost ÷ quantity produced

☒ **B** Total fixed cost ÷ quantity produced

☒ **C** Total variable cost ÷ quantity produced

☒ **D** Total revenue ÷ quantity produced

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13. Question 2 · part a · 1 mark · Working and answer

Working and answer

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Practice workbook · Calculating price elasticity of demand (PED)

Computing PED as %change in quantity demanded divided by %change in price, including rearranging the formula to find the quantity change.

8 question parts: 1 worked-example retry and 7 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-CALC-03

1. Question 1 · part f · 2 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part f only.

1 (a) Which **one** of the following is defined as 'breaking down the production process into smaller tasks'?

(1)

- ☒ **A** Division of labour
- ☒ **B** Innovation
- ☒ **C** Labour intensive
- ☒ **D** Productivity

A firm sells 40 units of a good. Variable costs are $4 per unit. Customers pay $10 per unit.

(b) Which **one** of the following equals $400?

(1)

- ☒ **A** Price
- ☒ **B** Total costs
- ☒ **C** Profit
- ☒ **D** Total revenue

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(c) What is meant by the term inferior good?

(2)

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1. Question 1 · part f · 2 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part f only.

(d) State **one** reason why a demand curve will shift to the left.

(1)

(e) Define the term production.

(1)

Inny provides a window cleaning service to homeowners in his local area. He recently increased prices by 1.6% and quantity demanded fell by 2.1%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Inny's window cleaning service. You are advised to show your working.

(2)

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1. Question 1 · part f · 2 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part f only.

(g) Using the diagram below, draw the likely effects on the market for crops after farmland is damaged by flooding. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

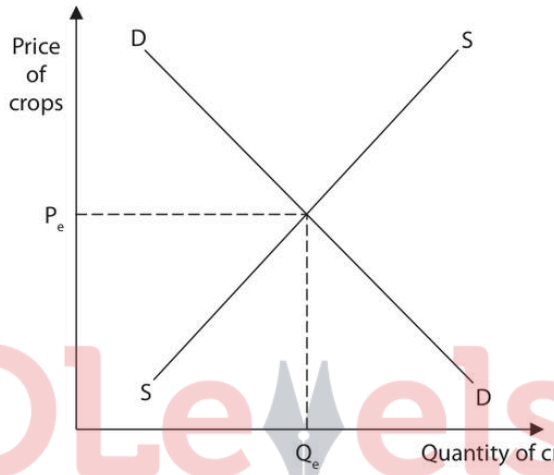


Figure 1

Tertiary sector employment has increased by 13.1% in China during the last 10 years. However, there have been few changes in the level of employment in the secondary sector.

(h) Explain **one** possible reason for this trend.

(3)

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1. Question 1 · part f · 2 marks · Working and answer

Working and answer

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2. Question 2 · part c · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

2 (a) Which **one** of the following is part of the economic problem of scarcity?

(1)

- ☒ **A** When to produce
- ☒ **B** What to produce
- ☒ **C** Whether to produce
- ☒ **D** Where to produce

A country is able to produce agricultural and non-agricultural goods. Its production possibility curve is shown in Figure 3.

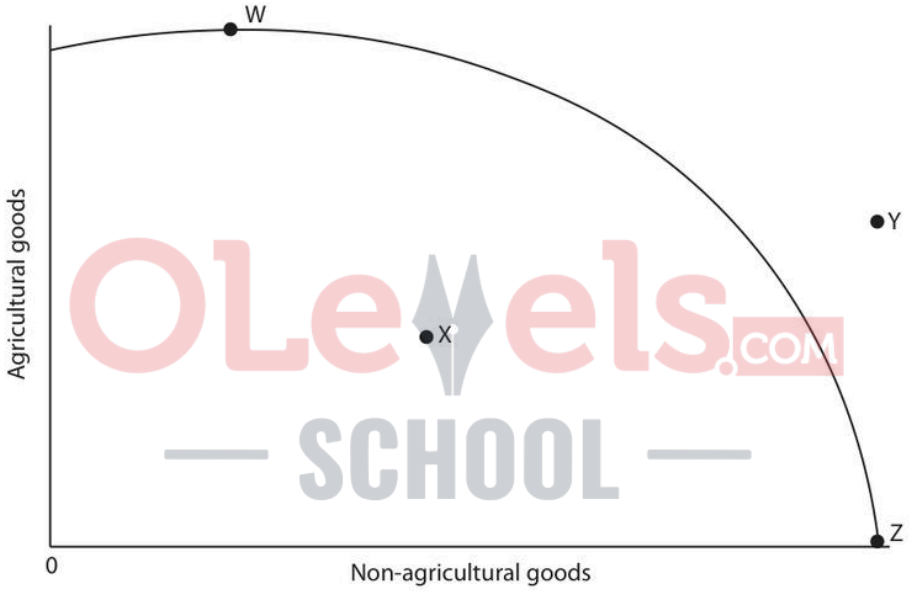


Figure 3

(b) Which **one** of the following points is **not** achievable?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

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2. Question 2 · part c · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

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(c) Calculate the price elasticity of demand for a product when price increases by 15% and quantity demanded falls by 12%. You are advised to show your working.

(2)

(d) Define the term innovation.

(1)

(e) State **one** factor that will cause a demand curve to shift to the left.

(1)

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2. Question 2 · part c · 2 marks · Working and answer

Working and answer

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3. Question 2 · part c · 2 marks

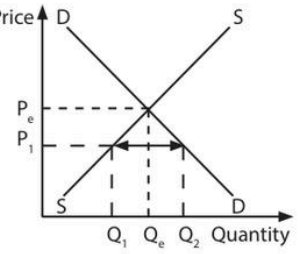
2020 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

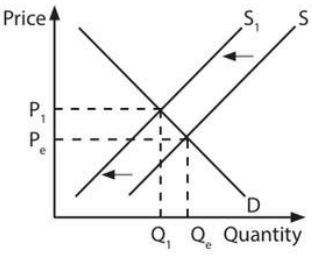
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

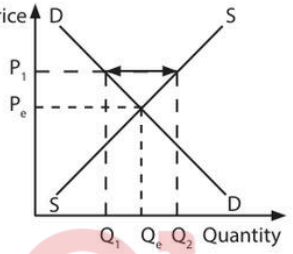
☒ **A**



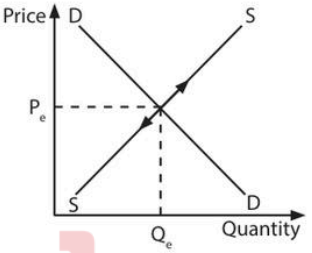
☒ **B**



☒ **C**



☒ **D**



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P 5 8 2 7 6 A 0 8 2 8

3. Question 2 · part c · 2 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

(b) Which **one** of the following is most likely to create a barrier to entry?

(1)

- ☒ **A** Government provides subsidies for new firms
- ☒ **B** Increasing personal incomes in the economy
- ☒ **C** Low start-up costs
- ☒ **D** Use of expensive technology

(c) Calculate the **price elasticity of demand (PED)** for a product if price falls by 10% and quantity demanded increases by 19%. You are advised to show your working.

(2)

(d) State the formula for social benefits.

(1)

(e) Define the term consumer.

(1)

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3. Question 2 · part c · 2 marks · Working and answer

Working and answer

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4. Question 1 · part f · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part f only.

1 (a) Which **one** of the following does a point on a production possibility curve (PPC) represent?

(1)

- ☒ **A** Where capital goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Government revenue from production
- ☒ **D** A given amount of resources being fully employed

Andreas is a plumber. Unlike his competitors, he is prepared to work at the weekend. However, he charges customers 50% more for his services at the weekend.

(b) Which **one** of the following describes this economic assumption?

(1)

- ☒ **A** Businesses aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers sometimes copy others' behaviour
- ☒ **D** Governments try to increase the number of days worked

(c) What is meant by the term economies of scale?

(2)

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4. Question 1 · part f · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part f only.

(d) State **one** example of a factor of production that can be classified as land.

(1)

(e) Define the term monopoly.

(1)

Alfie provides a dog-walking service to dog owners in his local area. After a successful first year he increased prices by 1.5% and quantity demanded fell by 1.1%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Alfie's dog-walking service. You are advised to show your working.

(2)

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4. Question 1 · part f · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part f only.

(g) Using the diagram below, draw the likely effects on the market for cars of the introduction of more effective technology in production. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

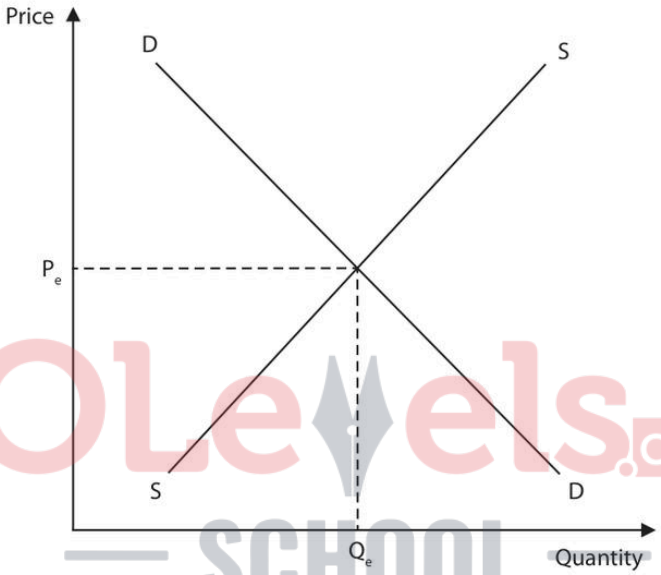


Figure 1

In 2015, the school-leaving age in England was raised from 16 to 18.

(h) Explain **one** possible effect on the supply of labour of the school-leaving age being raised.

(3)

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4. Question 1 · part f · 2 marks · Working and answer

Working and answer

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5. Question 1 · part f · 2 marks

2023 JAN · Paper 01

Further practice · Attempt part f only.

1 (a) What is the name given to a firm that manufactures cars?

(1)

- ☒ **A** A primary sector firm
- ☒ **B** A secondary sector firm
- ☒ **C** A tertiary sector firm
- ☒ **D** A service sector firm

A firm that employs 540 workers has a total monthly output of 27,000 units.

(b) What is the monthly labour productivity of the firm?

(1)

- ☒ **A** 0.02 units
- ☒ **B** 50 units
- ☒ **C** 27,540 units
- ☒ **D** 14,580,000 units

(c) What is meant by the term division of labour?

(2)

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5. Question 1 · part f · 2 marks

2023 JAN · Paper 01

Further practice · Attempt part f only.

(d) State **one** factor of production.

(1)

(e) Define the term public sector.

(1)

Yusef paints portraits of tourists who visit his home town. He recently reduced the price he charges by 2.5% and quantity demanded increased by 3.2%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Yusef's portraits. You are advised to show your working.

(2)

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5. Question 1 · part f · 2 marks

2023 JAN · Paper 01

Further practice · Attempt part f only.

Figure 1 shows the market for trainers.

(g) Using the diagram below, draw the likely effects on the market after a popular celebrity was seen wearing trainers. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

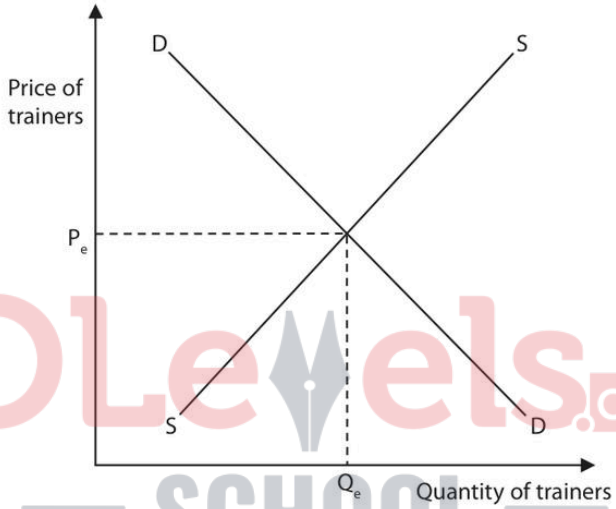


Figure 1

Spice Cottage is a new food producing business. Its prices are lower than market research suggests consumers would be willing to pay.

(h) Explain **one** reason why Spice Cottage may not aim to maximise its profit.

(3)

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5. Question 1 · part f · 2 marks · Working and answer

Working and answer

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6. Question 2 · part d · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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2 (a) Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **(1)**

- ☒ **A** $\frac{\text{Percentage change in quantity demanded}}{\text{Percentage change in price}}$
- ☒ **B** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity demanded}}$
- ☒ **C** $\frac{\text{Percentage change in quantity supplied}}{\text{Percentage change in price}}$
- ☒ **D** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity supplied}}$

A court in China ordered a firm to pay 10 000 Yuan because it polluted a local river.

(b) This is an example of which **one** of the following? **(1)**

- ☒ **A** A fine
- ☒ **B** A permit
- ☒ **C** A subsidy
- ☒ **D** A tax

(c) State **one** example of an external benefit. **(1)**

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P 7 4 0 5 7 A 0 7 2 4

6. Question 2 · part d · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

Sathvinder provides a cleaning service to homeowners in a small town. She recently decreased prices by 1.2% and quantity demanded increased by 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Sathvinder's cleaning service. You are advised to show your working.

(2)

(e) Define the term entrepreneur.

(1)

(f) Describe **one** reason why water is a factor of production.

(2)

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6. Question 2 · part d · 2 marks · Working and answer

Working and answer

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7. Question 2 · part c · 2 marks

2024 JUN · Paper 01

Further practice · Attempt part c only.

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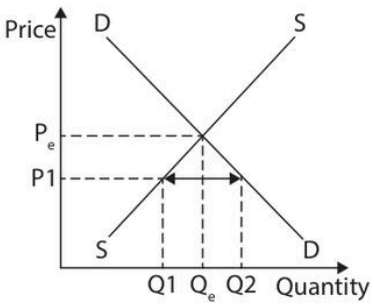
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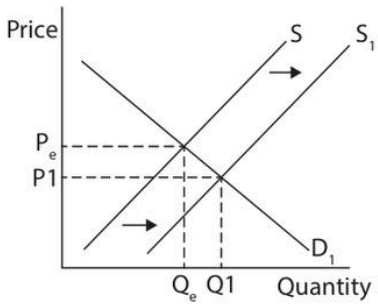
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

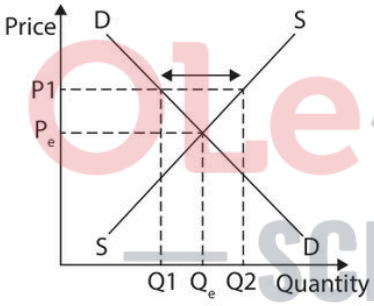
☒ **A**



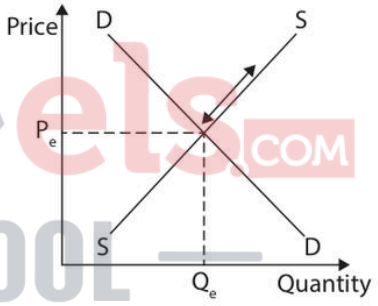
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of a monopoly?

(1)

☒ **A** Consumers have a choice of firms

☒ **B** There are many firms competing in the market

☒ **C** The firm is a price-maker

☒ **D** There are low barriers to entry

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7. Question 2 · part c · 2 marks

2024 JUN · Paper 01

Further practice · Attempt part c only.

(c) Calculate the **percentage change in quantity demanded** for a product if the price elasticity of demand (PED) is –1.9 and the price falls by 10%. You are advised to show your working.

(2)

(d) What is meant by the term social benefits?

(2)

(e) Describe **one** feature of an oligopoly.

(2)

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7. Question 2 · part c · 2 marks · Working and answer

Working and answer

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8. Question 1 · part f · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

1 (a) Which **one** of the following can represent a point on a production possibility curve (PPC)?

(1)

- ☒ **A** Where consumer goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Total revenue from production
- ☒ **D** Production which is obtainable

On one day a month, a firm charges each customer a price of $10 for providing one hour of gardening services. The cost to the firm for providing the service to each customer is $15.

(b) Which **one** of the following describes why the firm might do this?

(1)

- ☒ **A** Producers aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers sometimes copy others' behaviour

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(c) What is meant by the term economies of scale?

(2)

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8. Question 1 · part f · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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(d) State **one** example of an item that can be classified as capital.

(1)

(e) Define the term price-maker.

(1)

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(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for a good if the price decreases by 4.7% and the quantity demanded increases by 1.8%. You are advised to show your working.

(2)

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8. Question 1 · part f · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

Figure 1 shows the market for smartphones.

(g) Using the diagram below, draw the likely effect on the market for smartphones following an increase in productivity. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

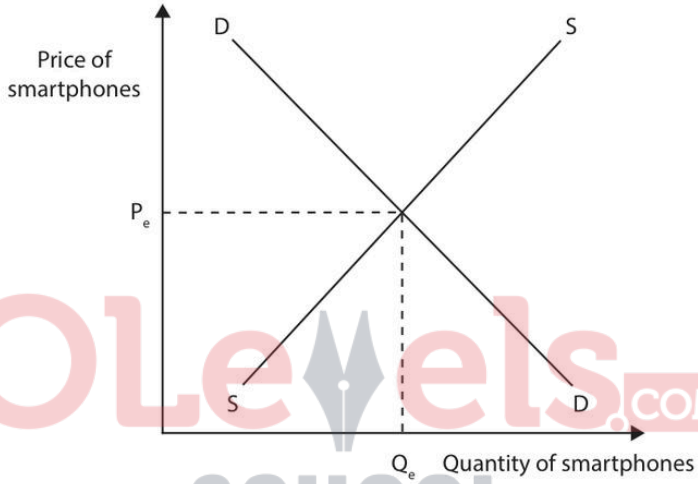


Figure 1

In 2023, the French Government increased the age at which people could receive a state pension to 64.

(h) Explain **one** possible effect of this change in the pension age on the supply of labour.

(3)

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8. Question 1 · part f · 2 marks · Working and answer

Working and answer

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Practice workbook · Income elasticity of demand and types of goods

What YED measures, classifying goods by the sign and size of YED, and how firms and government use YED as incomes change.

13 question parts: 1 worked-example retry and 12 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-15

1. Question 1 · part i · 6 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part i only.

1 (a) What is the name given to a firm that manufactures cars?

(1)

- ☒ **A** A primary sector firm
- ☒ **B** A secondary sector firm
- ☒ **C** A tertiary sector firm
- ☒ **D** A service sector firm

A firm that employs 540 workers has a total monthly output of 27,000 units.

(b) What is the monthly labour productivity of the firm?

(1)

- ☒ **A** 0.02 units
- ☒ **B** 50 units
- ☒ **C** 27,540 units
- ☒ **D** 14,580,000 units

(c) What is meant by the term division of labour?

(2)

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1. Question 1 · part i · 6 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part i only.

(d) State **one** factor of production.

(1)

(e) Define the term public sector.

(1)

Yusef paints portraits of tourists who visit his home town. He recently reduced the price he charges by 2.5% and quantity demanded increased by 3.2%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Yusef's portraits. You are advised to show your working.

(2)

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1. Question 1 · part i · 6 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part i only.

Figure 1 shows the market for trainers.

(g) Using the diagram below, draw the likely effects on the market after a popular celebrity was seen wearing trainers. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

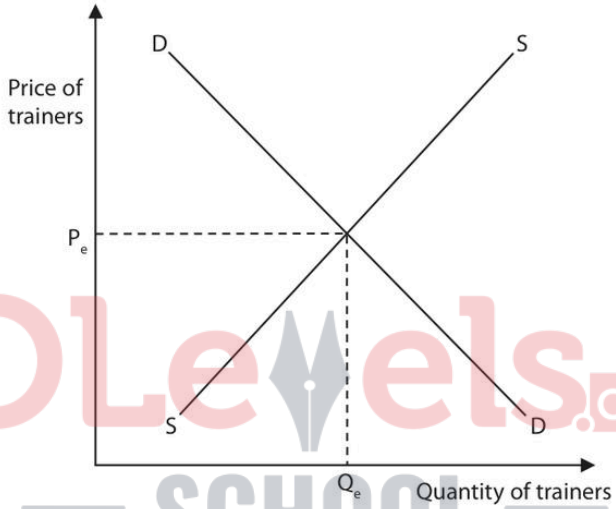


Figure 1

Spice Cottage is a new food producing business. Its prices are lower than market research suggests consumers would be willing to pay.

(h) Explain **one** reason why Spice Cottage may not aim to maximise its profit.

(3)

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1. Question 1 · part i · 6 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part i only.

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Megabus provides cheap bus travel in Canada, the US and the UK. Research showed that if incomes rose by 10% then the quantity demanded for bus travel would fall by 15%.

(i) With reference to the data above and your knowledge of economics, analyse why this knowledge could be useful to a firm such as Megabus.

(6)

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1. Question 1 · part i · 6 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part i only.



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1. Question 1 · part i · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 1 · part c · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

1 (a) Which **one** of the following is a feature of an oligopoly?

(1)

- ☒ **A** Large firms dominate
- ☒ **B** Unique product
- ☒ **C** One firm dominates
- ☒ **D** No barriers to entry

(b) A firm has monthly total costs of $150 000 and monthly fixed costs of $90 000. If it produces 1,000 units, what are the monthly total variable costs for the firm?

(1)

- ☒ **A** $60
- ☒ **B** $90
- ☒ **C** $60 000
- ☒ **D** $240 000

(c) What is meant by the term luxury good?

(2)

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2. Question 1 · part c · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) State **one** factor that would affect price elasticity of supply (PES).

(1)

(e) Define the term substitute good.

(1)

Small but successful

Robert has been running a small business from a workshop in his own house for nine years. He has been carving door signs and gifts out of locally sourced wood. Rather than producing identical, standard items, he decided to only make products to meet the personal requirements of his customers. Each order is made specifically for them and reviews are very positive. Robert's success is due to a growing trend across the country as consumers increasingly prefer to buy locally sourced products.

(f) Calculate the price elasticity of supply for Robert's wooden door signs when the price increases by 5.2% and quantity supplied increases by 3.9%. You are advised to show your working.

(2)

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O1.eVels.COM SCHOOL

2. Question 1 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 3 · part a · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part a only.

3 A product has an income elasticity of demand (YED) of -0.16.

(a) Which **one** of the following best describes this product?

(1)

- ☒ **A** A luxury good
- ☒ **B** A normal good
- ☒ **C** A public good
- ☒ **D** An inferior good

(b) Which **one** of the following is a diseconomy of scale?

(1)

- ☒ **A** An increase in productivity
- ☒ **B** An increase in bureaucracy
- ☒ **C** A decrease in the cost of research and development
- ☒ **D** A decrease in government regulation

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3. Question 3 · part a · 1 mark · Working and answer

Working and answer

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4. Question 4 · part c · 12 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

4 Figure 6 shows the Production Possibility Curve (PPC) for an economy making consumer goods and capital goods.

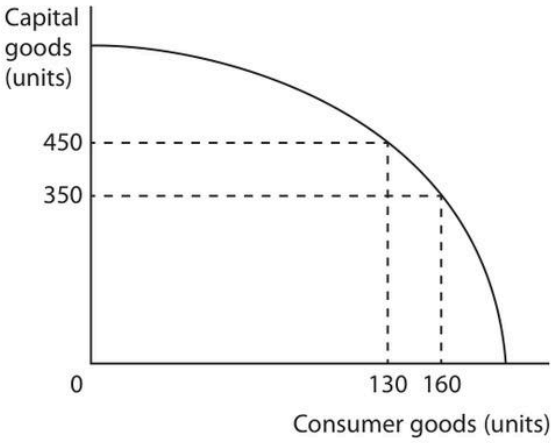


Figure 6

(a) When the current level of output is 350 units of capital goods, calculate the **opportunity cost** of producing an additional 100 units of capital goods. You are advised to show your working.

(2)

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4. Question 4 · part c · 12 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

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Five years ago Ben Hogan began working for a large firm based in London. He was originally happy with his role but is now thinking about leaving. He is frustrated with how long it takes for even straight-forward decisions to be made.

The firm has grown considerably in the last two years and there are many more employees as a result. There is an increasing number of checklists about how to carry out tasks. Ben finds this time-consuming and feels his ideas are no longer listened to.

(b) With reference to the data above and your knowledge of economics, analyse why Ben's employer might be experiencing diseconomies of scale.

(6)

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4. Question 4 · part c · 12 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

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4. Question 4 · part c · 12 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

Amazon Prime Video is a multinational entertainment provider. It streams films and television shows to subscribers through the internet. In Japan, Amazon holds 11.5% of the market share. This is higher than Netflix but less than dTV, U-NEXT and Hulu. Subscribers currently pay 3 900 yen ($36.75) for annual membership to stream from Amazon, which is cheaper than its competitors.

(Source adapted from: https://variety.com/2018/tv/news/amazon-netflix-gain-ground-japan-streaming-1202729953/)

(c) With reference to the data above and your knowledge of economics, evaluate the importance of income elasticity of demand (YED) for Amazon Prime Video as incomes in Japan increase.

(12)

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4. Question 4 · part c · 12 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

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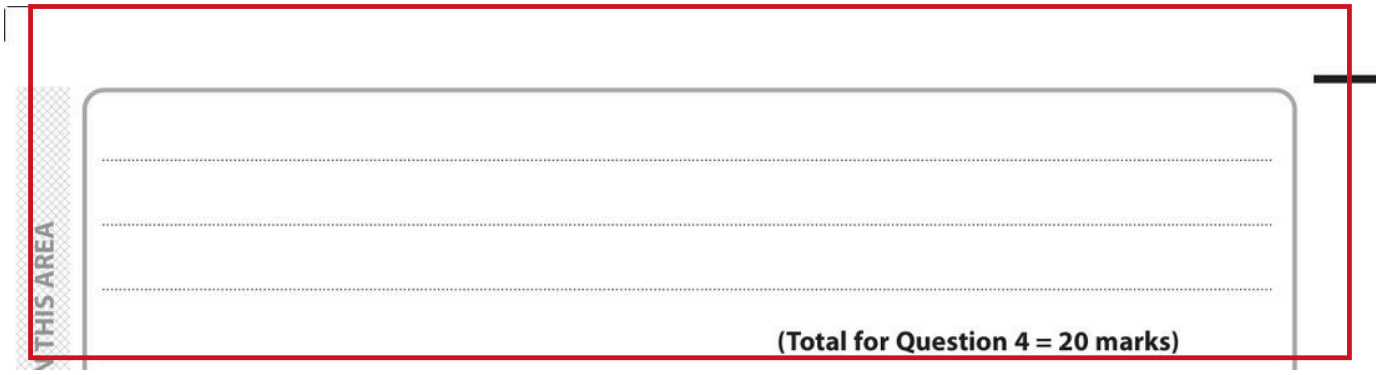
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4. Question 4 · part c · 12 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.



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4. Question 4 · part c · 12 marks · Working and answer

Working and answer

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5. Question 3 · part b · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part b only.

3 (a) Which **one** of the following is most likely to cause a shift to the left in the supply curve?

(1)

- ☒ **A** Increased indirect taxes
- ☒ **B** Cost reductions
- ☒ **C** Increased subsidies
- ☒ **D** Decreased advertising

(b) Which **one** of the following best describes an income elasticity of demand (YED) of 2.6?

(1)

- ☒ **A** Inferior
- ☒ **B** Unitary
- ☒ **C** Luxury
- ☒ **D** Inelastic

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5. Question 3 · part b · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part b only.

(c) In the box below, draw a production possibility frontier (PPF) for a firm that can produce diaries and/or calendars. On your PPF, draw what would happen if production of calendars increased.

(3)

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5. Question 3 · part b · 1 mark · Working and answer

Working and answer

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6. Question 1 · part b · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part b only.

1 (a) Which **one** of the following is a reason why firms may not always maximise their profit?

(1)

- ☒ **A** They may minimise total costs
- ☒ **B** They may be able to sell at a high price
- ☒ **C** They may have low fixed costs
- ☒ **D** They may complete charitable work

A product has an income elasticity of demand (YED) of 0.7.

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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6. Question 1 · part b · 1 mark · Working and answer

Working and answer

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7. Question 1 · part c · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

1 (a) Which **one** of the following is defined as 'breaking down the production process into smaller tasks'?

(1)

- ☒ **A** Division of labour
- ☒ **B** Innovation
- ☒ **C** Labour intensive
- ☒ **D** Productivity

A firm sells 40 units of a good. Variable costs are $4 per unit. Customers pay $10 per unit.

(b) Which **one** of the following equals $400?

(1)

- ☒ **A** Price
- ☒ **B** Total costs
- ☒ **C** Profit
- ☒ **D** Total revenue

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(c) What is meant by the term inferior good?

(2)

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7. Question 1 · part c · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) State **one** reason why a demand curve will shift to the left.

(1)

(e) Define the term production.

(1)

Inny provides a window cleaning service to homeowners in his local area. He recently increased prices by 1.6% and quantity demanded fell by 2.1%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Inny's window cleaning service. You are advised to show your working.

(2)

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7. Question 1 · part c · 2 marks · Working and answer

Working and answer

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8. Question 1 · part c · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Taxation
- ☒ **B** Gym workout
- ☒ **C** Enterprise
- ☒ **D** Restaurant meal

A firm charges a price of $160 per item and has average costs of $120 per item. It sells 20 000 items.

(b) What is the total revenue for the firm?

(1)

- ☒ **A** $19 200
- ☒ **B** $20 160
- ☒ **C** $2 400 000
- ☒ **D** $3 200 000

(c) What is meant by the term normal good?

(2)

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8. Question 1 · part c · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

(d) State the formula for social benefits.

(1)

(e) Define the term niche market.

(1)

Greg produces pottery at a small factory in his local area. At the start of the year price increased by 5.4% and quantity supplied increased by 4.7%.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for Greg's pottery. You are advised to show your working.

(2)

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8. Question 1 · part c · 2 marks · Working and answer

Working and answer

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9. Question 1 · part a · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

1 (a) For which **one** of the following will demand increase when incomes decrease?

(1)

- ☒ **A** Capital good
- ☒ **B** Inferior good
- ☒ **C** Luxury good
- ☒ **D** Normal good

A firm's monthly total costs are $2 640 and monthly fixed costs are $900.

(b) Which **one** of the following equals $1 740?

(1)

- ☒ **A** Price
- ☒ **B** Profit
- ☒ **C** Average total costs
- ☒ **D** Total variable costs

(c) What is meant by the term division of labour?

(2)

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9. Question 1 · part a · 1 mark · Working and answer

Working and answer

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10. Question 3 · part a · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part a only.

3 Income elasticity of demand (YED) for a product is –0.43 and the price elasticity of demand (PED) for the same product is –0.27.

(a) The data above shows that the product is

(1)

- ☒ **A** an inferior good and demand is price inelastic
- ☒ **B** an inferior good and demand is price elastic
- ☒ **C** a normal good and demand is price inelastic
- ☒ **D** a normal good and demand is price elastic

(b) The formula for social benefits is

(1)

- ☒ **A** private costs + private benefits
- ☒ **B** private benefits – private costs
- ☒ **C** private benefits + external benefits
- ☒ **D** private costs – external costs

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10. Question 3 · part a · 1 mark · Working and answer

Working and answer

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11. Question 3 · part b · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part b only.

3 (a) Which **one** of the following is most likely to cause a shift to the left of the demand curve?

(1)

- ☒ **A** Increased advertising
- ☒ **B** Cost reductions
- ☒ **C** Increased indirect taxes
- ☒ **D** Decreased incomes

(b) Which **one** of the following best describes the type of goods with an income elasticity of demand (YED) of –1.3?

(1)

- ☒ **A** Inferior
- ☒ **B** Unitary
- ☒ **C** Luxury
- ☒ **D** Normal

(c) In the box below, draw a production possibility curve (PPC) for a firm that can produce shampoo and/or toothpaste. On your PPC, draw and label what would happen if production of toothpaste was increased.

(3)

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11. Question 3 · part b · 1 mark · Working and answer

Working and answer

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12. Question 1 · part b · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part b only.

1 When a firm increased its prices, many consumers stopped buying its products.

(a) Which **one** of the following explains the behaviour of these consumers?

(1)

- ☒ **A** Consumers aim to maximise profit
- ☒ **B** Consumers aim to maximise benefits
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers cannot calculate their benefits

A product has an income elasticity of demand (YED) of –0.9

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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12. Question 1 · part b · 1 mark · Working and answer

Working and answer

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13. Question 4 · part b · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.

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4 Figure 6 shows the Production Possibility Curve (PPC) for an economy making consumer goods and capital goods.

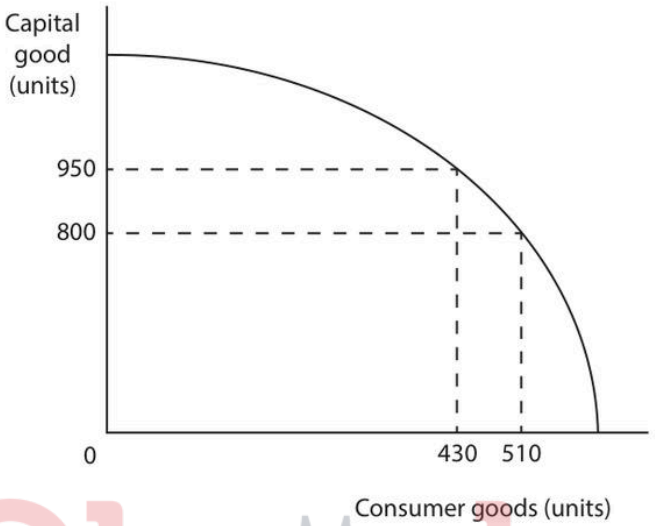


Figure 6

(a) When the current level of output is 430 units of consumer goods, calculate the **opportunity cost** of producing an additional 80 units of consumer goods. You are advised to show your working.

(2)

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13. Question 4 · part b · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.

Bulgaria has an extensive rail network. Many towns and cities are also accessible by bus. Both these methods of public transport are low priced. However, train travel is considered poor by European standards, with frequent train cancellations and a poor record of safety. Buses are often late and take a lot longer to reach their destination than if travelling by private car.

(b) With reference to the data above and your knowledge of economics, analyse how income elasticity of demand (YED) may affect operators of public transport as incomes increase in Bulgaria.

(6)

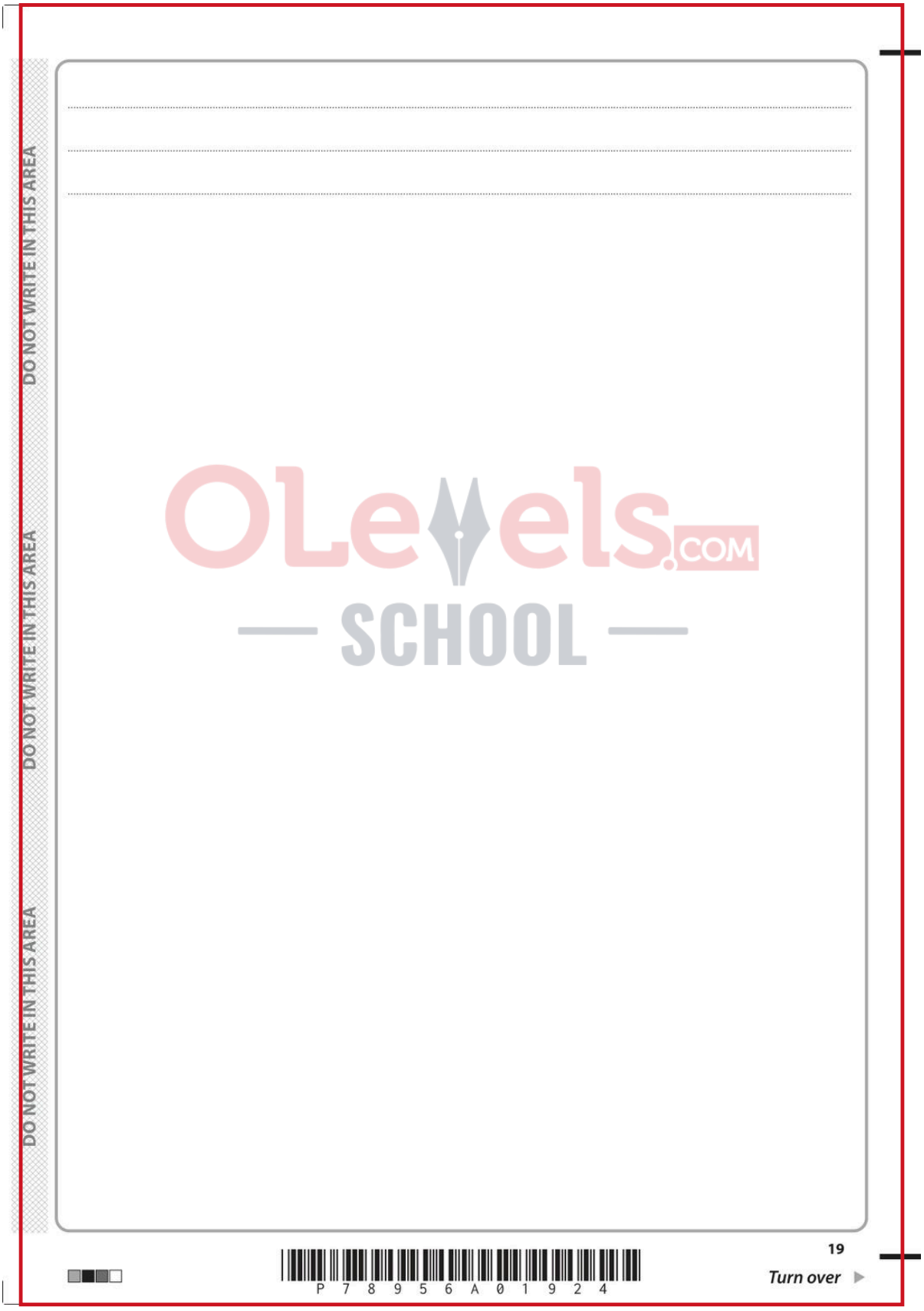
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13. Question 4 · part b · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.



13. Question 4 · part b · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.

In January 2025, the Western Australian Government announced plans to invest AU$107m to expand the Swan River ferry network. The river is 72 km long and a major waterway, connecting many areas in its capital city, Perth.

The plan would have five new electric ferries built by local firms. Each ferry has the ability to transport more than 130 passengers per trip. In addition, there would be two new stops along the river, one close to a bus depot and one to enable easier access to the University of Western Australia.

Local sailing clubs were concerned about safety from the addition of ferry services into areas used by smaller boats. Meanwhile, politicians opposed to the addition said that creating extra parking for ferry customers may cause problems.

(c) With reference to the data above and your knowledge of economics, evaluate the extent to which public sector investment may benefit the economy of Western Australia.

(12)

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13. Question 4 · part b · 6 marks · Working and answer

Working and answer

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Practice workbook · Calculating income elasticity of demand (YED)

Computing YED as %change in quantity demanded divided by %change in income, and reading the result as luxury, normal or inferior.

5 question parts: 1 worked-example retry and 4 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-CALC-05

1. Question 1 · part f · 2 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part f only.

1 (a) Which **one** of the following values shows perfectly price elastic demand?

(1)

- ☒ **A** –1
- ☒ **B** –0.5
- ☒ **C** Zero
- ☒ **D** Infinity

(b) A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is

(1)

- ☒ **A** €6.04
- ☒ **B** €205.36
- ☒ **C** €211.40
- ☒ **D** €422.80

(c) What is meant by the term mixed economy?

(2)

(d) State **one** example of an occupation that is in the tertiary sector of an economy.

(1)

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1. Question 1 · part f · 2 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part f only.

(e) Define the term producer.

(1)

(f) Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 7% and quantity demanded increases by 11%. You are advised to show your working.

(2)

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1. Question 1 · part f · 2 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part f only.

Figure 1 shows the market for solar panels.

(g) Using the diagram below, draw the likely effects on the market for solar panels if the government removes an indirect tax on them. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

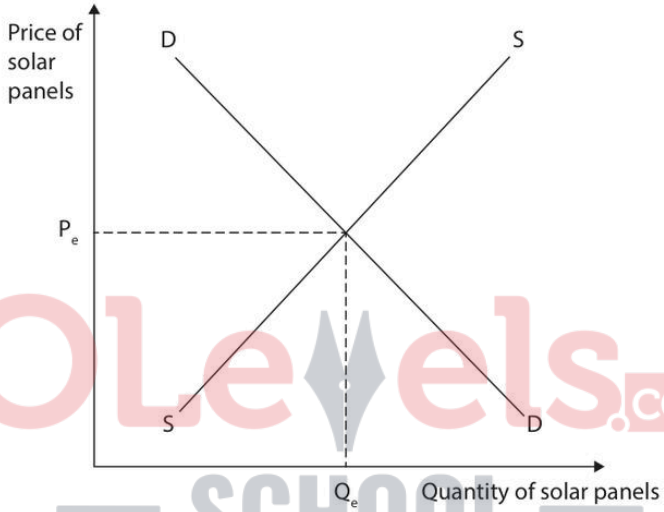


Figure 1

Casper has decided to purchase a new television.

(h) Explain **one** possible opportunity cost for Casper of this decision.

(3)

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P 7 2 9 6 7 A 0 4 2 4

1. Question 1 · part f · 2 marks · Working and answer

Working and answer

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2. Question 1 · part f · 2 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

1 (a) Which **one** of the following values shows perfect price inelasticity of demand?

(1)

- ☒ **A** –1.5
- ☒ **B** –1
- ☒ **C** 0
- ☒ **D** 0.5

(b) A firm has total costs of $500 and sells each item at a price of $50. It sells 100 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $45 000 profit
- ☒ **B** $4 500 profit
- ☒ **C** $20 000 loss
- ☒ **D** $450 loss

(c) What is meant by the term mixed economy?

(2)

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2. Question 1 · part f · 2 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

(d) State **one** example of an occupation in the tertiary sector of the economy. (1)

(e) Define the term government. (1)

(f) Calculate the income **elasticity of demand (YED)** for a good if income increases by 5% and quantity demanded increases by 12%. You are advised to show your working. (2)

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2. Question 1 · part f · 2 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

(g) Using the diagram below, draw the effects on the equilibrium price and quantity after the government removes an indirect tax on sustainable fuel. Label the new curve, the new equilibrium price and quantity.

(3)

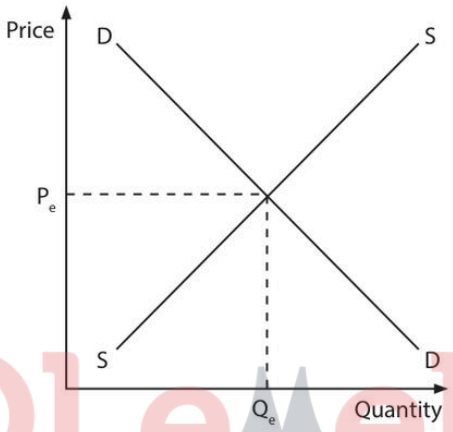


Figure 1

A firm has decided to purchase a new computer system.

(h) Explain **one** possible opportunity cost for the firm of this decision.

(3)

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4

P 5 8 2 7 6 A 0 4 2 8

2. Question 1 · part f · 2 marks · Working and answer

Working and answer

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3. Question 1 · part f · 2 marks

2020 JAN · Paper 01

Further practice · Attempt part f only.

1 (a) Which **one** of the following values shows perfect price inelasticity of supply?

(1)

- ☒ **A** 1.5
- ☒ **B** 1
- ☒ **C** 0.5
- ☒ **D** 0

(b) A firm has total costs of $1 250 000 per month and variable costs of $100 per unit. If it produces 5,000 units, calculate the **total fixed costs** per month for the firm.

(1)

- ☒ **A** $1 750 000
- ☒ **B** $1 250 100
- ☒ **C** $1 249 900
- ☒ **D** $750 000

(c) What is meant by the term supply?

(2)

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3. Question 1 · part f · 2 marks

2020 JAN · Paper 01

Further practice · Attempt part f only.

(d) State **one** example of an occupation that is in the secondary sector of the economy.

(1)

(e) Define the term labour.

(1)

(f) Calculate the **income elasticity of demand (YED)** for a good if income increases by 25% and quantity demanded increases by 10%. You are advised to show your working.

(2)

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3. Question 1 · part f · 2 marks

2020 JAN · Paper 01

Further practice · Attempt part f only.

(g) Using the diagram below, draw the likely effects of an increase in income on the equilibrium price and quantity for wireless headphones. Label the new curve, the new equilibrium price and quantity.

(3)

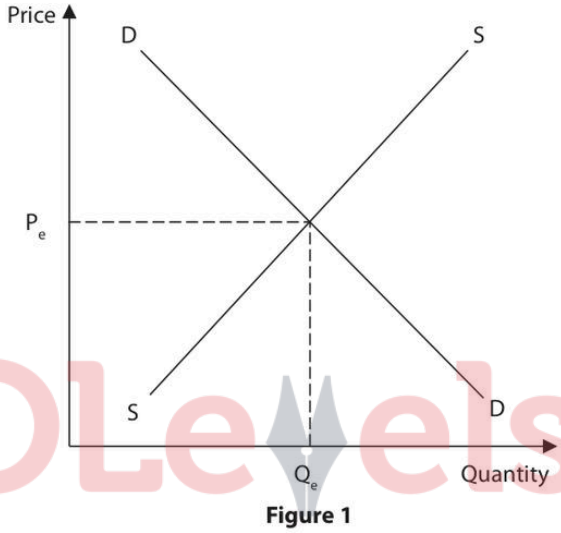


Figure 1

The government of a country has decided to build a new hospital.

(h) Explain **one** possible opportunity cost for the government of this decision.

(3)

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P 5 9 9 6 3 A 0 4 2 4

3. Question 1 · part f · 2 marks · Working and answer

Working and answer

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4. Question 2 · part a · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part a only.

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2 The income elasticity of demand (YED) for a product can be calculated by using the information in Figure 3.

Change in quantity demanded	4.6%
Change in income	2%

Figure 3

(a) Which **one** of the following options best describes the demand for the product?

(1)

- ☒ **A** Unitary
- ☒ **B** Luxury
- ☒ **C** Inferior
- ☒ **D** Inelastic

(b) Which **one** of the following is the formula for social benefits?

(1)

- ☒ **A** Private costs + private benefits
- ☒ **B** Private benefits – private costs
- ☒ **C** Private benefits + external benefits
- ☒ **D** Private costs – external costs

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4. Question 2 · part a · 1 mark · Working and answer

Working and answer

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5. Question 1 · part f · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

1 (a) Which **one** of the following values shows perfectly price inelastic supply?

(1)

- ☒ **A** 0
- ☒ **B** 0.5
- ☒ **C** 1
- ☒ **D** 2

(b) As a result of government policy, a firm had a decrease in its total costs of $200 each month. Which **one** of the following is the most likely type of government policy to produce this decrease in costs?

(1)

- ☒ **A** Fine
- ☒ **B** Regulation
- ☒ **C** Increased subsidy
- ☒ **D** Increased taxation

(c) What is meant by the term private sector?

(2)

(d) State **one** factor that may affect the supply of labour.

(1)

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2

P 7 2 9 6 8 R A 0 2 2 4

5. Question 1 · part f · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(e) Define the term government.

(1)

(f) Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 6.2% and quantity demanded increases by 1.7%. You are advised to show your working.

(2)

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3

Turn over

5. Question 1 · part f · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

Figure 1 shows the market for tennis balls.

(g) Using the diagram below, draw the likely effects on the market for tennis balls after a fall in the price of tennis rackets. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

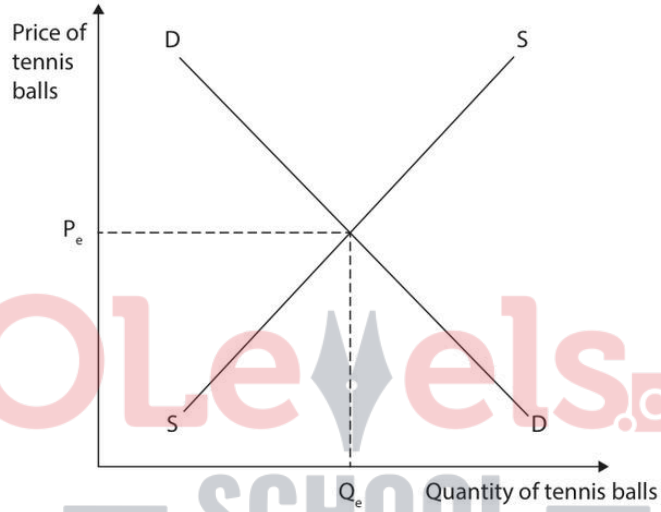


Figure 1

A firm has decided to purchase a new delivery vehicle.

(h) Explain **one** possible opportunity cost for the firm of this decision.

(3)

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5. Question 1 · part f · 2 marks · Working and answer

Working and answer

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Practice workbook · Price elasticity of supply: meaning, values and causes

What PES measures and its formula, classifying PES values, the determinants (factors of production, stocks, spare capacity, time), and why primary products tend to be less supply-elastic than manufactured goods.

12 question parts: 1 worked-example retry and 11 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-13

1. Question 3 · part e · 9 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part e only.

3 (a) An increase in which **one** of the following is most likely to cause a decrease in the supply of labour?

(1)

- ☒ **A** The retirement age
- ☒ **B** The school-leaving age
- ☒ **C** The population
- ☒ **D** The demand for the final product

(b) Which **one** of the following is the formula to calculate total revenue?

(1)

- ☒ **A** Quantity sold × price
- ☒ **B** Profit – price
- ☒ **C** Profit ÷ price
- ☒ **D** Quantity sold ÷ price

(c) Using the diagram below, draw a price elastic demand (PED) curve. Label the curve and show the impact on both axes from a change in price.

(3)



Figure 2

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1. Question 3 · part e · 9 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part e only.

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More than one million drinks are bottled each day at the Coca-Cola factory in Mwanza, Tanzania. Over 1,000 workers are involved in the process at its 65,000 m^2 site, which includes filling bottles, sealing them with caps and adding labels. This enables consumers across East Africa to enjoy brands such as Coca-Cola, Fanta and Sprite.

(d) With reference to the data above and your knowledge of economics, analyse the possible advantages for Coca-Cola of using division of labour at the factory.

(6)

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1. Question 3 · part e · 9 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part e only.

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1. Question 3 · part e · 9 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part e only.

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Many firms in Bangladesh produce textiles. In the factories, cotton shirts, knitwear and suits are produced. These factories are often operating below capacity.

About 40% of the Bangladeshi population is employed in the agricultural sector. Crops such as wheat, corn and fruit are produced annually by this sector.

(e) With reference to the data above and your knowledge of economics, assess whether supply is likely to be more price elastic for textiles than for agricultural products.

(9)

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1. Question 3 · part e · 9 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part e only.

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(Total for Question 3 = 20 marks)

1. Question 3 · part e · 9 marks · Working and answer

Working and answer

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2. Question 1 · part d · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

1 (a) Which **one** of the following is a feature of an oligopoly?

(1)

- ☒ **A** Large firms dominate
- ☒ **B** Unique product
- ☒ **C** One firm dominates
- ☒ **D** No barriers to entry

(b) A firm has monthly total costs of $150 000 and monthly fixed costs of $90 000. If it produces 1,000 units, what are the monthly total variable costs for the firm?

(1)

- ☒ **A** $60
- ☒ **B** $90
- ☒ **C** $60 000
- ☒ **D** $240 000

(c) What is meant by the term luxury good?

(2)

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2. Question 1 · part d · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

(d) State **one** factor that would affect price elasticity of supply (PES).

(1)

(e) Define the term substitute good.

(1)

Small but successful

Robert has been running a small business from a workshop in his own house for nine years. He has been carving door signs and gifts out of locally sourced wood. Rather than producing identical, standard items, he decided to only make products to meet the personal requirements of his customers. Each order is made specifically for them and reviews are very positive. Robert's success is due to a growing trend across the country as consumers increasingly prefer to buy locally sourced products.

(f) Calculate the price elasticity of supply for Robert's wooden door signs when the price increases by 5.2% and quantity supplied increases by 3.9%. You are advised to show your working.

(2)

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2. Question 1 · part d · 1 mark · Working and answer

Working and answer

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3. Question 3 · part e · 9 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

3 (a) Which **one** of the following is most likely to cause an increase in the supply of labour?

(1)

- ☒ **A** A higher retirement age
- ☒ **B** A higher school-leaving age
- ☒ **C** A fall in population
- ☒ **D** A fall in demand for the final product

(b) Average costs can be calculated by which **one** of the following equations?

(1)

- ☒ **A** $\frac{\text{Total revenue}}{\text{Total costs}}$
- ☒ **B** $\frac{\text{Total revenue}}{\text{Price}}$
- ☒ **C** $\frac{\text{Output}}{\text{Total fixed costs}}$
- ☒ **D** $\frac{\text{Total costs}}{\text{Output}}$

(c) Draw a demand curve on the diagram below that has price elastic demand (PED). Label the impact of a price change from P_1 to P_2 and its impact on quantity from Q_1 to Q_2.

(3)

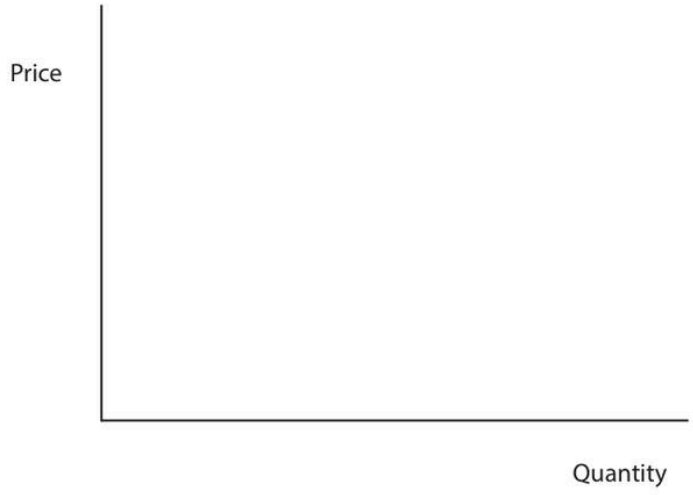


Figure 2

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P 5 8 2 7 6 A 0 1 4 2 8

3. Question 3 · part e · 9 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

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During the last six years, the government budget of Slovenia has raised almost €1bn in revenue from the privatisation of public sector assets. Most recently was the sale of 65% of the government shares in NLB Bank. The money raised from the sales was mostly transferred to the government budget and used for various purposes. These included the repayment of public sector debt and the long-term stability of the Slovenian pension system.

(Source adapted from: https://www.total-slovenia-news.com/business/2564-privatisation-in-slovenia-has-raised-almost-1bn-since-2012)

(d) With reference to the data above and your knowledge of economics, analyse the possible benefits of privatisation for the Slovenian Government.

(6)

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3. Question 3 · part e · 9 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

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3. Question 3 · part e · 9 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

In the Republic of Korea, firms such as Hyundai and Kia produce cars. In addition, the Republic has 28,951 farms producing organic fruits such as strawberries. It is one of the most important organic producers in Asia.

(Source adapted from: http://www.intracen.org/exporters/organic-products/country-focus/Country-Profile-South-Korea/)

(e) With reference to the data above and your knowledge of economics, assess whether the price elasticity of supply (PES) is likely to be more price elastic for cars than for organic strawberries.

(9)

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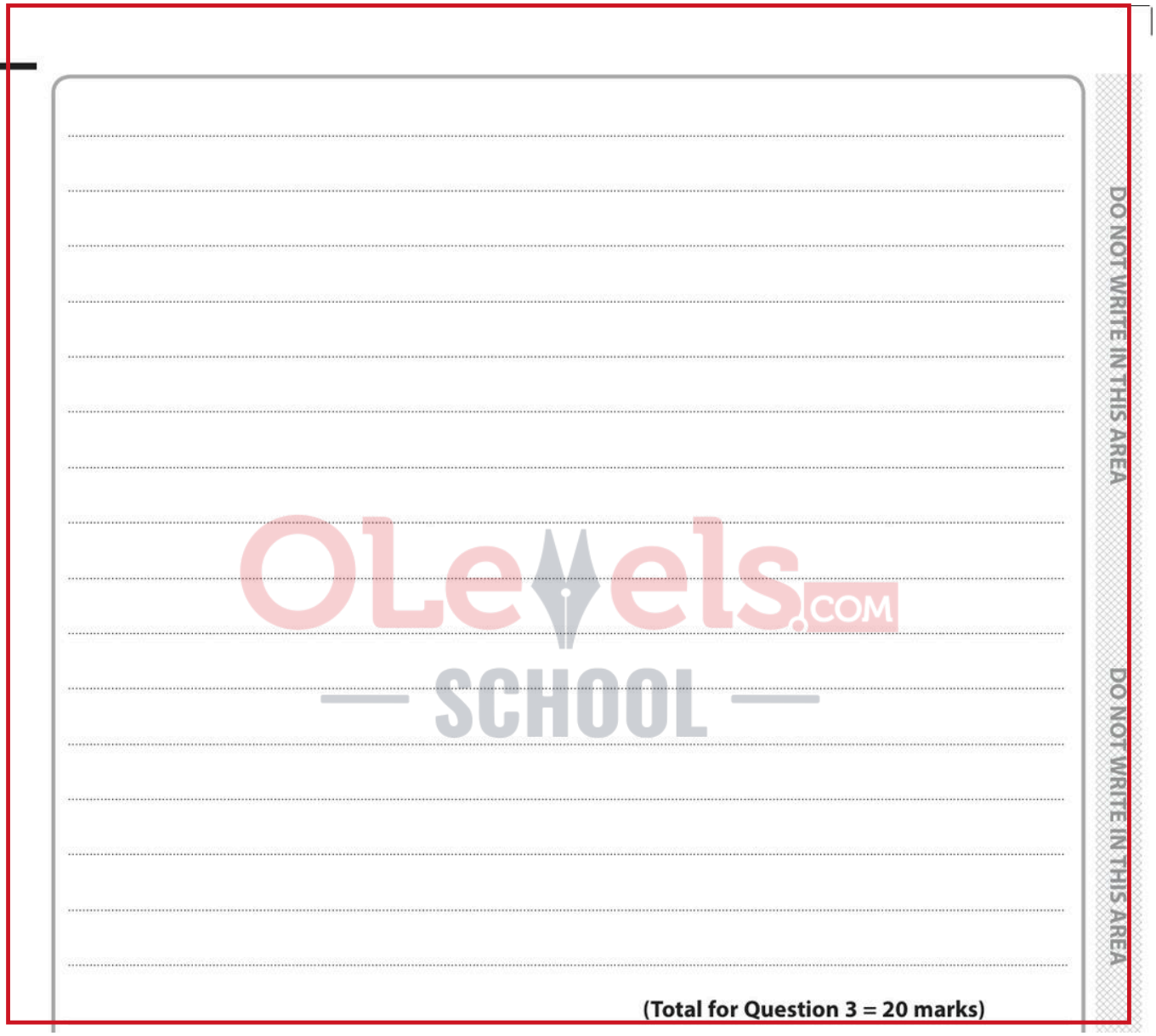
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3. Question 3 · part e · 9 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.



3. Question 3 · part e · 9 marks · Working and answer

Working and answer

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4. Question 1 · part a · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part a only.

1 (a) Which **one** of the following values shows perfect price inelasticity of supply?

(1)

- ☒ **A** 1.5
- ☒ **B** 1
- ☒ **C** 0.5
- ☒ **D** 0

(b) A firm has total costs of $1 250 000 per month and variable costs of $100 per unit. If it produces 5,000 units, calculate the **total fixed costs** per month for the firm.

(1)

- ☒ **A** $1 750 000
- ☒ **B** $1 250 100
- ☒ **C** $1 249 900
- ☒ **D** $750 000

(c) What is meant by the term supply?

(2)

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P 5 9 9 6 3 A 0 2 2 4

4. Question 1 · part a · 1 mark · Working and answer

Working and answer

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5. Question 3 · part b · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

3 (a) Which **one** of the following can be described as an advantage to a small firm?

(1)

- ☒ **A** Access to many sources of finance
- ☒ **B** Flexibility
- ☒ **C** Market domination
- ☒ **D** Risk spreading

(b) Which **one** of the following options describes a price elasticity of supply (PES) of 0.7?

(1)

- ☒ **A** Perfectly price elastic
- ☒ **B** Perfectly price inelastic
- ☒ **C** Price elastic
- ☒ **D** Price inelastic

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5. Question 3 · part b · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

(c) Using the diagram below, draw the effects of an increase in the retirement age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

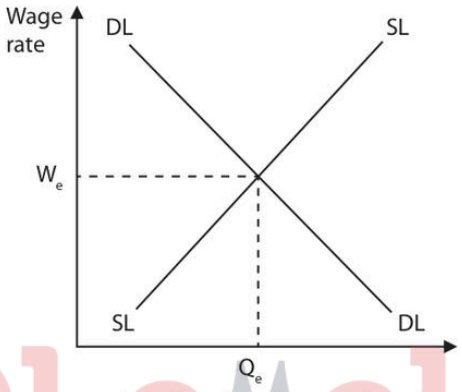


Figure 5

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5. Question 3 · part b · 1 mark · Working and answer

Working and answer

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6. Question 2 · part c · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part c only.

2

Market share by firm for a market in Azerbaijan

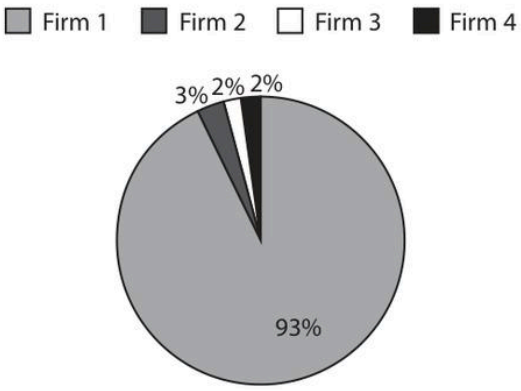


Figure 3

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 3? **(1)**

- ☒ **A** Cartel
- ☒ **B** Oligopoly
- ☒ **C** Monopoly
- ☒ **D** Competitive

(b) Which **one** of the following is a reason why consumers may not maximise their benefit? **(1)**

- ☒ **A** Consumers may accurately calculate the satisfaction they gain
- ☒ **B** Consumers may have habits that are hard to give up
- ☒ **C** Consumers are always rational when making decisions
- ☒ **D** Consumers never copy the behaviour of others

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P 6 2 0 3 0 A 0 8 2 4

6. Question 2 · part c · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part c only.

(c) State the formula for price elasticity of supply (PES).

(1)

Figure 4 shows some of the production costs in the month of May for a firm manufacturing football souvenirs in Qatar, in preparation for the 2022 World Cup.

Production costs	Qatari Riyal (QR)
Rent	5 000
Raw materials	2 000
Advertising	500
Labour (paid according to output)	15 000

Figure 4

(d) Calculate the **total variable costs** for the firm in the month of May. You are advised to show your working.

(2)

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6. Question 2 · part c · 1 mark · Working and answer

Working and answer

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7. Question 4 · part b · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part b only.

4 Figure 5 shows the population in Austria in the years 2000, 2008 and 2018.

Year	Population
2000	8,069,276
2008	8,341,532
2018	8,891,388

(Source adapted from: https://worldpopulationreview.com/countries/austria-population/)

Figure 5

(a) Calculate, to two decimal places, the **percentage change in the population** in Austria between 2000 and 2018. You are advised to show your working.

(2)

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7. Question 4 · part b · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part b only.

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Figure 6 shows the price elasticity of supply (PES) of bananas.

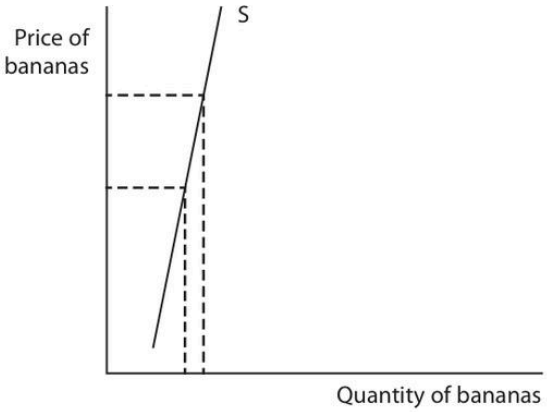


Figure 6

(b) With reference to the data above and your knowledge of economics, analyse how the quantity supplied of bananas might be affected by an increase in price. (6)

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7. Question 4 · part b · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part b only.

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18

P 6 5 8 9 6 A 0 1 8 2 4

7. Question 4 · part b · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part b only.

Monthly Spanish minimum wage increases

In 2019, the monthly minimum wage in Spain increased by the largest percentage in over 40 years. It rose by around 22% compared to only a 4% rise the previous year. It was part of an annual review with a focus on 'making Spain great again'. The Spanish Prime Minister said that, 'A rich country should not have poor workers'.



Figure 7

(c) With reference to the data above and your knowledge of economics, evaluate whether an increase in the minimum wage would benefit an economy such as Spain.

(12)

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7. Question 4 · part b · 6 marks · Working and answer

Working and answer

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8. Question 2 · part c · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

2 (a) Which **one** of the following would lead to an increase in the supply of labour?

(1)

- ☒ **A** Decrease in the retirement age
- ☒ **B** Increase in the school-leaving age
- ☒ **C** Increase in female participation
- ☒ **D** Decrease in population

A small firm manufactures jewellery to the exact requirements of its customers.

(b) This is an example of which **one** of the following markets?

(1)

- ☒ **A** Monopoly
- ☒ **B** Labour
- ☒ **C** Niche
- ☒ **D** Financial

(c) State the formula for price elasticity of supply (PES).

(1)

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8. Question 2 · part c · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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Figure 2 shows some of the monthly production costs for a firm which manufactures clothing.

Production costs	US$
Rent	25 000
Raw materials	12 000
Insurance	5 500
Labour (payment depends on output)	115 000

Figure 2

(d) Calculate the **total variable costs** for the firm each month. You are advised to show your working.

(2)

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(e) Define the term minimum wage.

(1)

8. Question 2 · part c · 1 mark · Working and answer

Working and answer

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9. Question 2 · part a · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

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2 (a) Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **(1)**

- ☒ **A** $\frac{\text{Percentage change in quantity demanded}}{\text{Percentage change in price}}$
- ☒ **B** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity demanded}}$
- ☒ **C** $\frac{\text{Percentage change in quantity supplied}}{\text{Percentage change in price}}$
- ☒ **D** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity supplied}}$

A court in China ordered a firm to pay 10 000 Yuan because it polluted a local river.

(b) This is an example of which **one** of the following? **(1)**

- ☒ **A** A fine
- ☒ **B** A permit
- ☒ **C** A subsidy
- ☒ **D** A tax

(c) State **one** example of an external benefit. **(1)**

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9. Question 2 · part a · 1 mark · Working and answer

Working and answer

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10. Question 1 · part a · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

1 (a) Which **one** of the following values shows perfectly price inelastic supply?

(1)

- ☒ **A** 0
- ☒ **B** 0.5
- ☒ **C** 1
- ☒ **D** 2

(b) As a result of government policy, a firm had a decrease in its total costs of $200 each month. Which **one** of the following is the most likely type of government policy to produce this decrease in costs?

(1)

- ☒ **A** Fine
- ☒ **B** Regulation
- ☒ **C** Increased subsidy
- ☒ **D** Increased taxation

(c) What is meant by the term private sector?

(2)

(d) State **one** factor that may affect the supply of labour.

(1)

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10. Question 1 · part a · 1 mark · Working and answer

Working and answer

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11. Question 1 · part i · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

1 (a) Which **one** of the following can represent a point on a production possibility curve (PPC)?

(1)

- ☒ **A** Where consumer goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Total revenue from production
- ☒ **D** Production which is obtainable

On one day a month, a firm charges each customer a price of $10 for providing one hour of gardening services. The cost to the firm for providing the service to each customer is $15.

(b) Which **one** of the following describes why the firm might do this?

(1)

- ☒ **A** Producers aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers sometimes copy others' behaviour

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(c) What is meant by the term economies of scale?

(2)

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11. Question 1 · part i · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

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(d) State **one** example of an item that can be classified as capital.

(1)

(e) Define the term price-maker.

(1)

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for a good if the price decreases by 4.7% and the quantity demanded increases by 1.8%. You are advised to show your working.

(2)

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11. Question 1 · part i · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

Figure 1 shows the market for smartphones.

(g) Using the diagram below, draw the likely effect on the market for smartphones following an increase in productivity. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

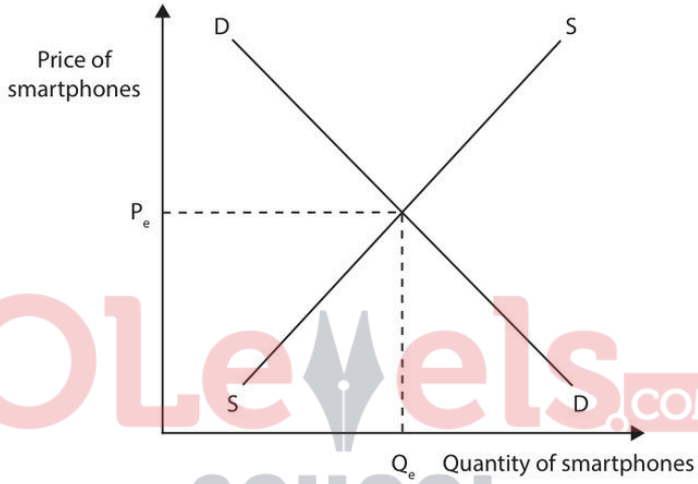


Figure 1

In 2023, the French Government increased the age at which people could receive a state pension to 64.

(h) Explain **one** possible effect of this change in the pension age on the supply of labour.

(3)

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11. Question 1 · part i · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

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Figure 2 shows the price elasticity of supply (PES) of avocados.

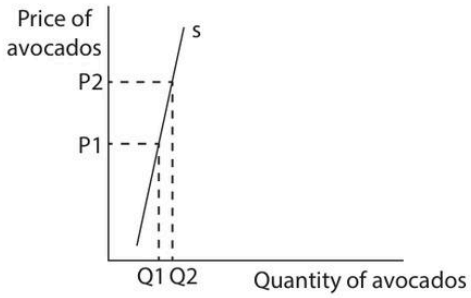


Figure 2

(i) With reference to the data above and your knowledge of economics, analyse the impact of an increase in price on the quantity supplied of avocados.

(6)

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11. Question 1 · part i · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

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(Total for Question 1 = 20 marks)

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11. Question 1 · part i · 6 marks · Working and answer

Working and answer

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12. Question 3 · part b · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b only.

3 (a) Which **one** of the following may be a reason why a firm stays small?

(1)

- ☒ **A** Ability to take over competitors
- ☒ **B** Access to many sources of finance
- ☒ **C** Ability to spread risk
- ☒ **D** Aims of the entrepreneur

(b) Which **one** of the following describes a price elasticity of supply (PES) of 1.5?

(1)

- ☒ **A** Perfectly price elastic
- ☒ **B** Perfectly price inelastic
- ☒ **C** Price elastic
- ☒ **D** Price inelastic

Figure 5 shows the labour market for a country.

(c) Using the diagram below, draw the effect of a decrease in the school-leaving age on the labour market in this country. Label the new curve, the new equilibrium wage rate and the new quantity of workers.

(3)

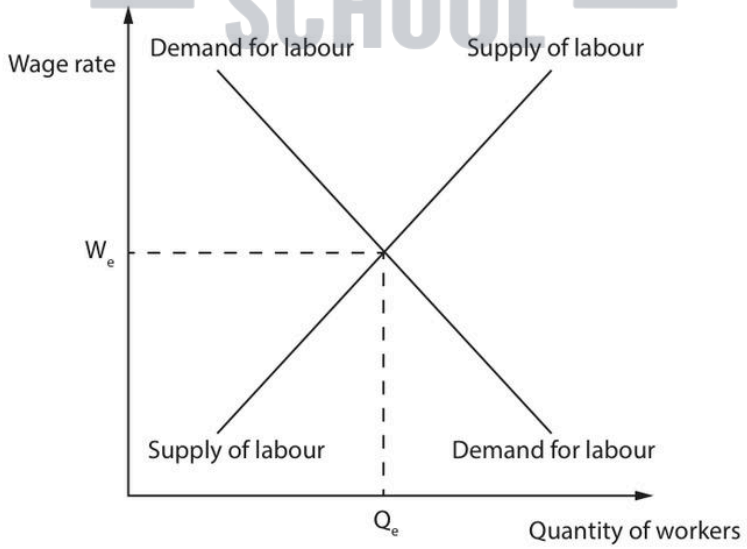


Figure 5

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12. Question 3 · part b · 1 mark · Working and answer

Working and answer

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Practice workbook · Calculating price elasticity of supply (PES)

Computing PES as %change in quantity supplied divided by %change in price, including rearranging for the quantity change.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-CALC-04

1. Question 1 · part f · 2 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part f only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Taxation
- ☒ **B** Gym workout
- ☒ **C** Enterprise
- ☒ **D** Restaurant meal

A firm charges a price of $160 per item and has average costs of $120 per item. It sells 20 000 items.

(b) What is the total revenue for the firm?

(1)

- ☒ **A** $19 200
- ☒ **B** $20 160
- ☒ **C** $2 400 000
- ☒ **D** $3 200 000

(c) What is meant by the term normal good?

(2)

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1. Question 1 · part f · 2 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part f only.

(d) State the formula for social benefits.

(1)

(e) Define the term niche market.

(1)

Greg produces pottery at a small factory in his local area. At the start of the year price increased by 5.4% and quantity supplied increased by 4.7%.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for Greg's pottery. You are advised to show your working.

(2)

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1. Question 1 · part f · 2 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part f only.

(g) Using the diagram below, draw the likely effects on the market for apples following a decrease in the price of bananas. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

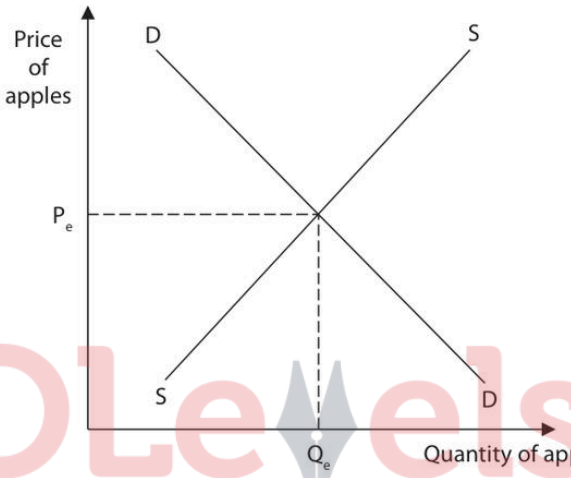


Figure 1

Warehouse employees at a small firm in Malta specialise in one task, such as sealing boxes, for orders that are sent to consumers.

(h) Explain **one** disadvantage of the division of labour for the warehouse employees.

(3)

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P 6 6 3 2 7 A 0 4 2 4

1. Question 1 · part f · 2 marks · Working and answer

Working and answer

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2. Question 1 · part f · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

1 (a) Which **one** of the following is a feature of an oligopoly?

(1)

- ☒ **A** Large firms dominate
- ☒ **B** Unique product
- ☒ **C** One firm dominates
- ☒ **D** No barriers to entry

(b) A firm has monthly total costs of $150 000 and monthly fixed costs of $90 000. If it produces 1,000 units, what are the monthly total variable costs for the firm?

(1)

- ☒ **A** $60
- ☒ **B** $90
- ☒ **C** $60 000
- ☒ **D** $240 000

(c) What is meant by the term luxury good?

(2)

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2. Question 1 · part f · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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(d) State **one** factor that would affect price elasticity of supply (PES).

(1)

(e) Define the term substitute good.

(1)

Small but successful

Robert has been running a small business from a workshop in his own house for nine years. He has been carving door signs and gifts out of locally sourced wood. Rather than producing identical, standard items, he decided to only make products to meet the personal requirements of his customers. Each order is made specifically for them and reviews are very positive. Robert's success is due to a growing trend across the country as consumers increasingly prefer to buy locally sourced products.

(f) Calculate the price elasticity of supply for Robert's wooden door signs when the price increases by 5.2% and quantity supplied increases by 3.9%. You are advised to show your working.

(2)

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2. Question 1 · part f · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(g) Using the diagram below, draw the effects on the market for locally sourced goods of more customers preferring to buy from local firms. Label the new curve, new equilibrium price and new equilibrium quantity.

(3)

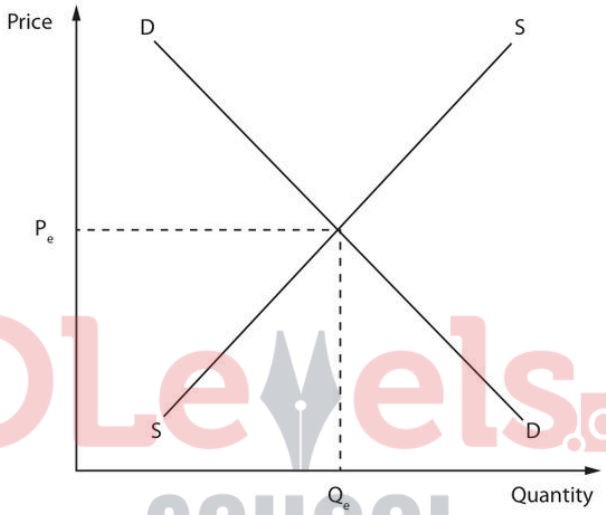


Figure 1

Robert is the only business specialising in handmade door signs in the local area.

(h) Explain **one** disadvantage for customers of Robert being the only local firm specialising in handmade door signs.

(3)

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2. Question 1 · part f · 2 marks · Working and answer

Working and answer

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3. Question 2 · part d · 2 marks

2020 JAN · Paper 01

Further practice · Attempt part d only.

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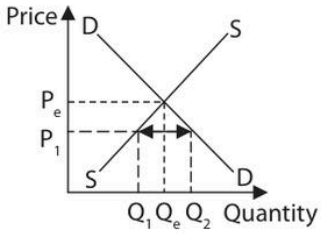
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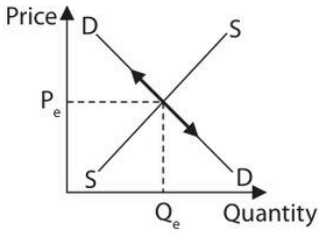
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

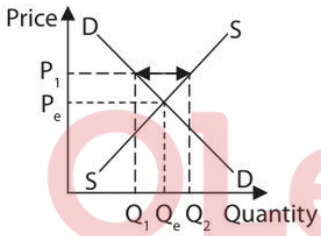
☒ **A**



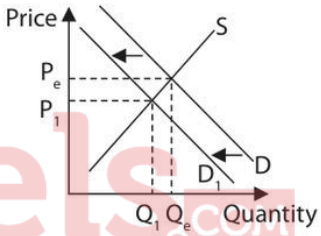
☒ **B**



☒ **C**



☒ **D**



(b) Land can be described as which **one** of the following?

(1)

☒ **A** A diseconomy of scale

☒ **B** A factor of production

☒ **C** A variable cost

☒ **D** A market failure

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3. Question 2 · part d · 2 marks

2020 JAN · Paper 01

Further practice · Attempt part d only.

(c) State the formula for profit.

(1)

(d) Calculate the **price elasticity of supply (PES)** for a product when price increases by 30% and quantity supplied increases by 36%. You are advised to show your working.

(2)

(e) Define the term finance.

(1)

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P 5 9 9 6 3 A 0 8 2 4

3. Question 2 · part d · 2 marks · Working and answer

Working and answer

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4. Question 2 · part d · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part d only.

2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

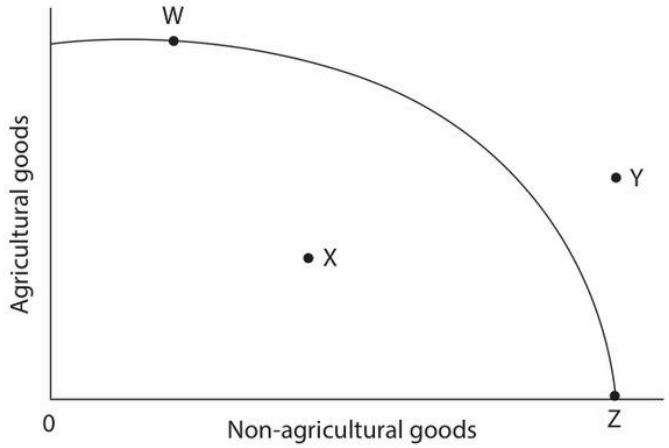


Figure 2

(a) Which **one** of the following points shows unemployed resources? **(1)**

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) A trade union is an organisation that aims to protect **(1)**

- ☒ **A** consumer interests
- ☒ **B** the environment
- ☒ **C** employee rights
- ☒ **D** the government

(c) State **one** reason why firms stay small. **(1)**

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4. Question 2 · part d · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part d only.

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A firm increases supply by 2.7% following a price increase of 4.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

(e) Define the term price-maker.

(1)

(f) Describe **one** reason why a computer can be a factor of production.

(2)

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P 6 5 8 9 7 R A 0 7 2 0

4. Question 2 · part d · 2 marks · Working and answer

Working and answer

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5. Question 1 · part f · 2 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

1 (a) Water is an example of which factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Labour
- ☒ **C** Capital
- ☒ **D** Enterprise

(b) A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the **profit** for the firm?

(1)

- ☒ **A** $5300
- ☒ **B** $6000
- ☒ **C** $13700
- ☒ **D** $14000

(c) What is meant by the term supply?

(2)

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5. Question 1 · part f · 2 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

(d) State **one** type of an external economy of scale.

(1)

(e) Define the term unique product.

(1)

Connor owns a hair salon. He increased prices by 2% and was willing to increase quantity supplied by 2.6%.

(f) Calculate the **price elasticity of supply (PES)** for Connor's hair salon. You are advised to show your working.

(2)

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5. Question 1 · part f · 2 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

(g) Using the diagram below, draw the likely effect on the market for luxury holidays after a fall in income. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

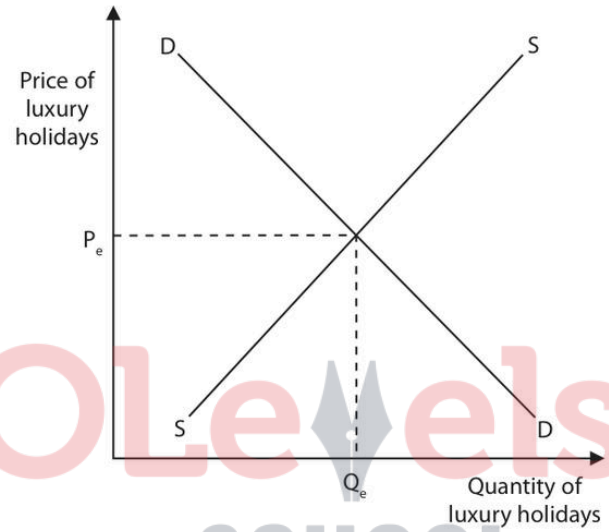


Figure 1

Government-owned Angola Telecom is to be privatised in an attempt to make the industry more efficient.

(h) Explain **one** possible disadvantage of privatisation for workers in the telecoms industry in Angola.

(3)

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5. Question 1 · part f · 2 marks · Working and answer

Working and answer

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6. Question 2 · part d · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part d only.

2 (a) Which **one** of the following would occur when there are unsold goods in a market?

(1)

- ☒ **A** Excess demand
- ☒ **B** Excess supply
- ☒ **C** Higher prices
- ☒ **D** Increased productivity

(b) Which **one** of the following statements is correct?

(1)

- ☒ **A** The supply curve is always vertical
- ☒ **B** Supply and price are not related
- ☒ **C** Quantity supplied will fall when price falls
- ☒ **D** An increase in price will shift the supply curve

(c) State the name for price elasticity of demand (PED) with a numerical value of –1.

(1)

A factory producing shoes calculated that quantity supplied decreased by 2.7% following a price decrease of 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working.

(2)

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6. Question 2 · part d · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part d only.

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(e) Define the term substitute.

(1)

(f) Describe **one** reason why a firm might stay small.

(2)

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There are many market stalls selling food in Taba, Egypt. Some of these stalls have received positive reviews on social media about the quality of the food they sell.

(g) Explain **one** advantage of positive reviews for the owners of food stalls in Taba.

(3)

6. Question 2 · part d · 2 marks · Working and answer

Working and answer

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7. Question 1 · part f · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.

1 (a) A trade union is an organisation that aims to improve

(1)

- ☒ **A** profit margins
- ☒ **B** tax revenue
- ☒ **C** the environment
- ☒ **D** working conditions

(b) Figure 1 below shows a change in demand for tickets to a sporting event.

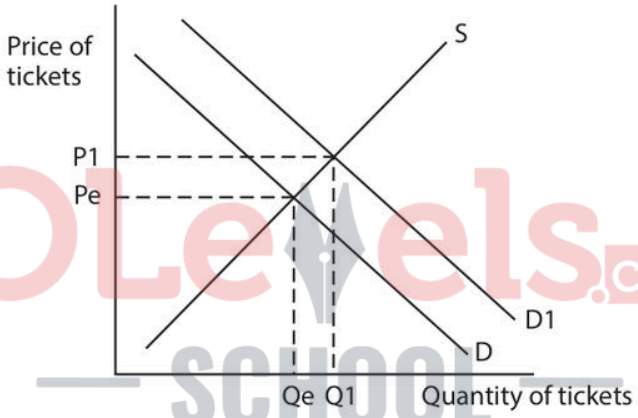


Figure 1

Which **one** of the following statements is true?

(1)

- ☒ **A** When the price falls, the quantity demanded falls
- ☒ **B** The demand curve slopes upwards from left to right
- ☒ **C** An increase in demand is shown by a shift to the right
- ☒ **D** A decrease in demand is shown by a shift to the right

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7. Question 1 · part f · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.

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(c) What is meant by the term economies of scale?

(2)

(d) State **one** main feature of an oligopoly.

(1)

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(e) Define the term excess supply.

(1)

7. Question 1 · part f · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.

A firm increases supply by 4.3% following a price increase of 3.7%.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

Figure 2 shows the market for electric cars.

(g) Using the diagram below, draw the likely effects on the market for electric cars following the introduction of a subsidy on electric cars. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

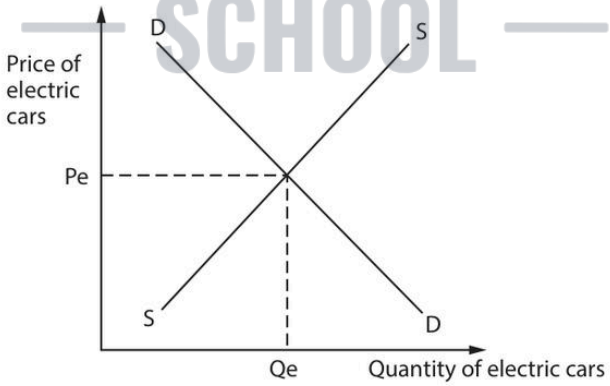


Figure 2

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7. Question 1 · part f · 2 marks · Working and answer

Working and answer

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8. Question 2 · part c · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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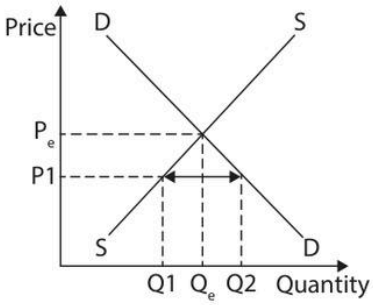
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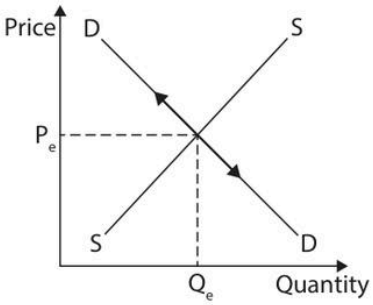
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

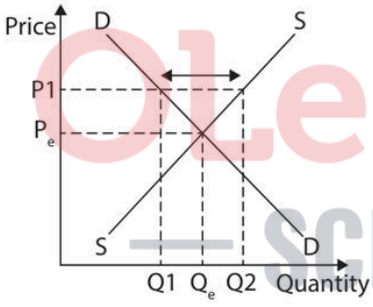
☒ **A**



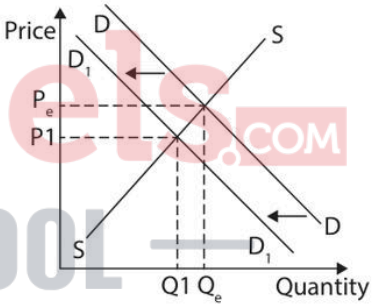
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of an oligopoly?

(1)

☒ **A** There is only one firm in the market

☒ **B** Firms always act independently

☒ **C** Different products are sold

☒ **D** No barriers to entry are present

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8. Question 2 · part c · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(c) Calculate the **percentage change in quantity supplied** for a product if the price elasticity of supply (PES) is 1.5 and the price increases by 12%. You are advised to show your working.

(2)

(d) What is meant by the term social costs?

(2)

(e) Describe **one** reason why innovation may be more likely to occur in a monopoly.

(2)

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8. Question 2 · part c · 2 marks · Working and answer

Working and answer

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9. Question 1 · part f · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.

1 (a) Which **one** of the following is a definition of opportunity cost?

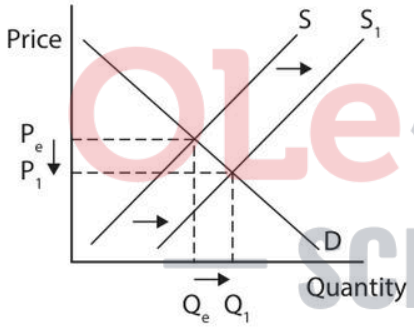
(1)

- ☒ **A** Rivalry that exists between firms
- ☒ **B** Investment in capital goods
- ☒ **C** The next best alternative given up
- ☒ **D** Unused resources

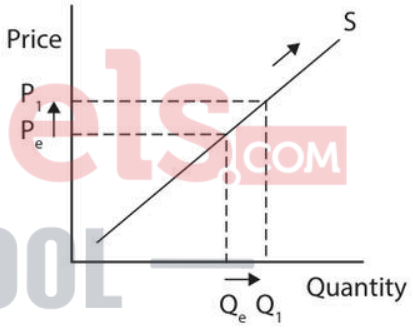
(b) Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers?

(1)

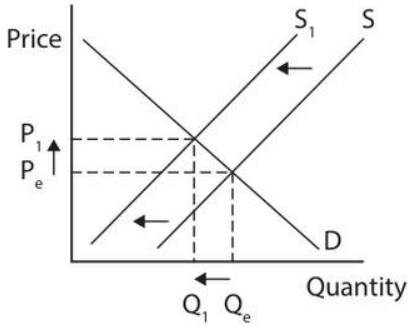
☒ **A**



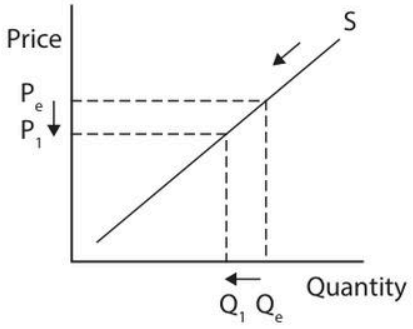
☒ **B**



☒ **C**



☒ **D**



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P 7 5 9 5 4 A 0 2 2 4

9. Question 1 · part f · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.

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(c) What is meant by the term external benefit?

(2)

(d) State **one** example of an external cost.

(1)

(e) Define the term takeover.

(1)

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9. Question 1 · part f · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for a good if price decreases by 9.4% and quantity supplied decreases by 3.7%. You are advised to show your working.

(2)

Figure 1 shows the market for rice.

(g) Using the diagram below, draw the likely effect of an increase in the population on the market for rice. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

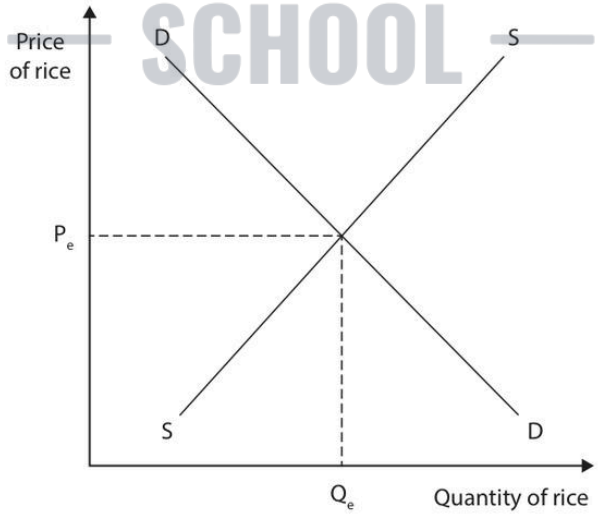


Figure 1

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9. Question 1 · part f · 2 marks · Working and answer

Working and answer

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10. Question 2 · part c · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

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2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

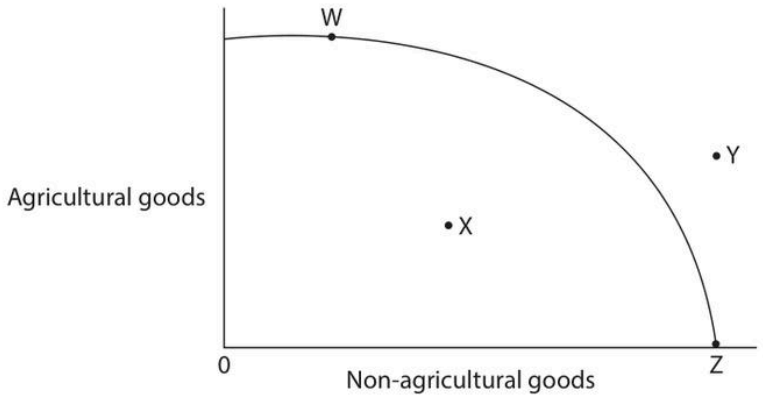


Figure 2

(a) Which **one** of the following options shows unobtainable production?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

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(b) Which **one** of the following is a factor that may affect the supply of labour?

(1)

- ☒ **A** Age distribution of population
- ☒ **B** Economies of scale
- ☒ **C** Firms aiming to maximise profit
- ☒ **D** Long run average costs

10. Question 2 · part c · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

A firm increases supply by 5.4% following a price increase of 7.8%.

(c) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

(d) What is meant by the term innovation?

(2)

(e) Describe **one** reason why a car mechanic is a factor of production.

(2)

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10. Question 2 · part c · 2 marks · Working and answer

Working and answer

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Practice workbook · Draw elastic and inelastic demand or supply curves

Drawing a shallow or steep demand or supply curve and showing the relative size of the price and quantity changes on the axes.

4 question parts: 1 worked-example retry and 3 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-14

1. Question 3 · part c · 3 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part c only.

3 (a) An increase in which **one** of the following is most likely to cause a decrease in the supply of labour?

(1)

- ☒ **A** The retirement age
- ☒ **B** The school-leaving age
- ☒ **C** The population
- ☒ **D** The demand for the final product

(b) Which **one** of the following is the formula to calculate total revenue?

(1)

- ☒ **A** Quantity sold × price
- ☒ **B** Profit – price
- ☒ **C** Profit ÷ price
- ☒ **D** Quantity sold ÷ price

(c) Using the diagram below, draw a price elastic demand (PED) curve. Label the curve and show the impact on both axes from a change in price.

(3)



Figure 2

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1. Question 3 · part c · 3 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part c only.

More than one million drinks are bottled each day at the Coca-Cola factory in Mwanza, Tanzania. Over 1,000 workers are involved in the process at its 65,000 m² site, which includes filling bottles, sealing them with caps and adding labels. This enables consumers across East Africa to enjoy brands such as Coca-Cola, Fanta and Sprite.

(d) With reference to the data above and your knowledge of economics, analyse the possible advantages for Coca-Cola of using division of labour at the factory.

(6)

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1. Question 3 · part c · 3 marks · Working and answer

Working and answer

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2. Question 3 · part c · 3 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

3 (a) Which **one** of the following is most likely to cause an increase in the supply of labour?

(1)

- ☒ **A** A higher retirement age
- ☒ **B** A higher school-leaving age
- ☒ **C** A fall in population
- ☒ **D** A fall in demand for the final product

(b) Average costs can be calculated by which **one** of the following equations?

(1)

- ☒ **A** $\frac{\text{Total revenue}}{\text{Total costs}}$
- ☒ **B** $\frac{\text{Total revenue}}{\text{Price}}$
- ☒ **C** $\frac{\text{Output}}{\text{Total fixed costs}}$
- ☒ **D** $\frac{\text{Total costs}}{\text{Output}}$

(c) Draw a demand curve on the diagram below that has price elastic demand (PED). Label the impact of a price change from P_1 to P_2 and its impact on quantity from Q_1 to Q_2.

(3)

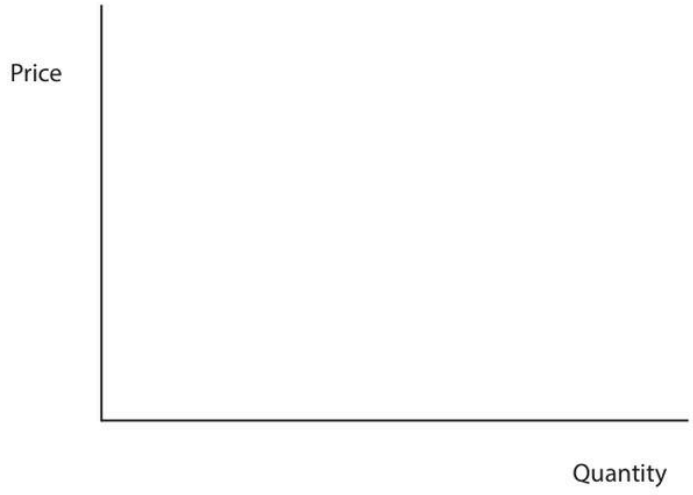


Figure 2

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P 5 8 2 7 6 A 0 1 4 2 8

2. Question 3 · part c · 3 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

During the last six years, the government budget of Slovenia has raised almost €1bn in revenue from the privatisation of public sector assets. Most recently was the sale of 65% of the government shares in NLB Bank. The money raised from the sales was mostly transferred to the government budget and used for various purposes. These included the repayment of public sector debt and the long-term stability of the Slovenian pension system.

(Source adapted from: https://www.total-slovenia-news.com/business/2564-privatisation-in-slovenia-has-raised-almost-1bn-since-2012)

(d) With reference to the data above and your knowledge of economics, analyse the possible benefits of privatisation for the Slovenian Government.

(6)

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2. Question 3 · part c · 3 marks · Working and answer

Working and answer

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3. Question 3 · part c · 3 marks

2023 JAN · Paper 01

Further practice · Attempt part c only.

3 (a) Which **one** of the following could be described as an economic need?

(1)

- ☒ **A** Haircut
- ☒ **B** Holiday
- ☒ **C** Shelter
- ☒ **D** Smartphone

(b) Which **one** of the following is an example of an external benefit?

(1)

- ☒ **A** Education
- ☒ **B** Air pollution
- ☒ **C** Overcrowding
- ☒ **D** Resource depletion

(c) Draw a supply curve on the diagram below that has price elastic supply (PES). Label the impact of a price change from P_1 to P_2 and its impact on quantity from Q_1 to Q_2.

(3)



Figure 3

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3. Question 3 · part c · 3 marks

2023 JAN · Paper 01

Further practice · Attempt part c only.

Every year in the UK, heavy rainfall is a cause of severe flooding in some areas. Calderdale in Yorkshire has been badly affected for a number of years. Increased water levels from the River Calder caused damage to residential properties, business premises and roads. The UK Government provided a £32m flood defence scheme to try to reduce the problem.

(Source adapted from: https://www.halifaxcourier.co.uk/news/politics/ps44m-to-be-spent-on-flood-defences-in-hebden-bridge-3327606)

(d) With reference to the data above and your knowledge of economics, analyse why the UK Government might provide flood defences.

(6)

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3. Question 3 · part c · 3 marks · Working and answer

Working and answer

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4. Question 3 · part c · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

3 (a) Which **one** of the following is an example of a job in the primary sector of the economy?

(1)

- ☒ **A** Farmer
- ☒ **B** Mechanic
- ☒ **C** Shop assistant
- ☒ **D** Teacher

(b) Total revenue can be defined as the quantity of goods sold

(1)

- ☒ **A** added to the price
- ☒ **B** subtracted from the price
- ☒ **C** multiplied by the price
- ☒ **D** divided by the price

(c) Using the diagram below, draw a diagram to show a demand curve that has price inelastic demand. Label the curve and show the impact on both axes from a change in price.

(3)

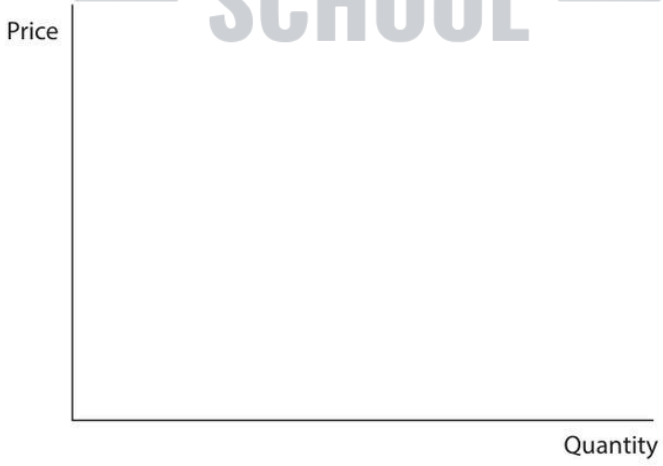


Figure 2

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4. Question 3 · part c · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

At the start of 2023, a study was carried out on the government-owned Portuguese airline, TAP Air, to see whether there were any potential investors. The objective was to begin the process of privatising TAP Air as soon as possible.

(d) With reference to the data above and your knowledge of economics, analyse the possible advantages of privatisation for TAP Air.

(6)

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4. Question 3 · part c · 3 marks · Working and answer

Working and answer

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